

NMLS SAFE MLO

Full-Length Practice Exam Phase 2 — Exam 5

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 2 — Exam 5 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. A borrower receives a Loan Estimate but decides not to proceed immediately. The Loan Estimate's quoted fees are binding for how many business days?

- A) 5 business days
- B) 7 business days
- C) 10 business days
- D) The LE has no expiration period — lenders are bound indefinitely

[Federal Laws — RESPA]

2. Under RESPA Section 8, which of the following is a PERMITTED fee or payment?

- A) A kickback to a real estate agent for sending borrowers
- B) A title company paying a broker for referrals
- C) Payment for actual services rendered — an appraiser paid for completing the appraisal
- D) A lender paying a builder for exclusive referral rights

[Federal Laws — ECOA]

3. A lender denies a loan to a borrower and the borrower requests the specific reasons for denial. Under ECOA, the lender must provide written reasons within how many days?

- A) 10 days from the date of the request
- B) 30 days from the date of the request
- C) 60 days from the adverse action
- D) Within 30 days of the request (or the initial adverse action notice must offer this)

[Federal Laws — TRID]

4. The 'no shop' period under TRID refers to:

- A) A period when the borrower cannot speak to other lenders
- B) The 3-business-day waiting period before consummation after CD delivery
- C) The 7-business-day waiting period from LE delivery to consummation — lenders cannot close before this expires
- D) A period during which the lender freezes rates

[Federal Laws — TILA]

5. Under Regulation Z's MLO compensation rules, an MLO's compensation CANNOT be based on:

- A) The loan amount
- B) The MLO's own performance metrics
- C) The term, rate, or other loan terms — compensation cannot be tied to loan conditions
- D) The type of loan product

[Federal Laws — RESPA]

6. Which of the following is a 'required use' violation under RESPA?

- A) A lender recommending a title company
- B) A seller requiring the buyer to use the seller's affiliated title company as a condition of the sale
- C) A borrower choosing to use the lender's affiliated attorney
- D) An MLO providing a list of recommended providers

[Federal Laws — TILA]

7. APR disclosure is required on mortgage advertisements when which specific trigger term appears?

- A) The word 'mortgage' appears
- B) The lender's name appears
- C) A specific monthly payment amount is advertised
- D) General rate information is mentioned

[Federal Laws — ECOA]

8. Under ECOA, which of the following is an example of 'disparate treatment'?

- A) A policy requiring minimum income that happens to screen out more minority applicants
- B) Charging a minority borrower a higher rate than a similarly qualified non-minority borrower with no objective justification
- C) A credit score minimum that impacts lower-income borrowers
- D) A property location requirement in rural areas

[Federal Laws — TRID]

9. Which of the following must appear on a Closing Disclosure but NOT on a Loan Estimate?

- A) Loan amount
- B) APR
- C) Cash to Close (detailed)
- D) Interest rate

[Federal Laws — RESPA]

10. Which RESPA provision specifically limits escrow account balances a servicer may require?

- A) RESPA Section 8
- B) RESPA Section 10
- C) RESPA Section 9
- D) RESPA Section 4

[Federal Laws — TILA]

11. The 'Total Interest Percentage' (TIP) on a Loan Estimate represents:

- A) The total fees paid over the life of the loan
- B) The total interest paid over the loan's life as a percentage of the loan amount
- C) The APR expressed as a percentage over 5 years
- D) The lender's profit margin

[Federal Laws — ECOA]

12. A married applicant applying alone for a home loan must:

- A) Have their spouse co-sign regardless
- B) Not be required to disclose marital status for an individual application (but the lender may ask for certain purposes)
- C) Disclose all jointly held assets
- D) Have both spouses on the application

[Federal Laws — TRID]

13. A borrower wants to close as quickly as possible. What is the ABSOLUTE MINIMUM time between application and closing under TRID?

- A) 3 business days
- B) 7 business days
- C) 10 business days
- D) 13 business days

[Federal Laws — RESPA]

14. An affiliated business disclosure (AfBA) that is delivered AFTER the referral has already been made:

- A) Is compliant if delivered within 3 business days of the referral
- B) Is not compliant — AfBA must be provided before or at the time of the referral
- C) Is acceptable for written referrals only
- D) Is compliant if the borrower acknowledges receipt

[Federal Laws — TILA]

15. Under Reg Z's rescission rules, when a lender fails to provide required rescission notices, the extended rescission period allows the borrower to cancel the loan for up to:

- A) 30 days from consummation
- B) 1 year from consummation
- C) 3 years from consummation
- D) The extended period is indefinite

■ ■ General Mortgage ■ ■

[General Mortgage — Underwriting/QM/ATR]

16. A borrower has the following complex profile: 2 mortgages (primary + investment), self-employment 3 years, declining K-1 income Year 1=\$120K, Year 2=\$95K, Schedule C losses on a side business (\$15K Year 2), 720 FICO, 25% down, 18 months reserves. The qualifying income is MOST accurately:

- A) \$10,000/month (K-1 average only)
- B) \$8,750/month (lower K-1 year \$95K / 12) minus Schedule C loss
- C) \$6,667/month (\$95K - \$15K loss = \$80K / 12)
- D) \$7,542/month (K-1 declining income \$95K adjusted for loss)

[General Mortgage — FHA Loans]

17. A borrower with \$85,000 income has a proposed FHA PITI of \$2,500. Existing debts: car \$450, student \$0 (IBR at \$0 but \$35,000 balance, Fannie Mae style 1% rule = \$350). But this is FHA — what is FHA's rule for the \$0 IBR student loan?

- A) FHA uses 1% of balance = \$350
- B) FHA uses \$0 if IBR payment is documented as \$0
- C) FHA uses the actual payment (\$0) if documented on credit report
- D) FHA uses the greater of 1% or actual payment — \$350 since 1% > \$0

[General Mortgage — VA Loans]

18. A veteran borrower has: income \$8,000/month, PITI \$2,200, car \$500, student \$300, credit \$100. Residual income region = South; family of 4 requires \$1,003/month residual. Is the veteran's residual income sufficient?

- A) Yes — \$4,900 residual income far exceeds \$1,003
- B) No — residual income fails
- C) Residual income is not applicable to VA loans
- D) Residual income is calculated differently for veterans

[General Mortgage — Conventional Loans]

19. A borrower has 710 FICO, 85% LTV, primary residence, 30-year fixed conventional. The LLPA for this profile at origination through Fannie Mae would be:

- A) Zero — 710 FICO is excellent
- B) A specific fee (percentage) based on the intersection of 710 FICO and 85% LTV on the LLPA grid — higher risk = higher fee
- C) Only an LTV adjustment, not credit-based
- D) The same as a 780 FICO borrower at the same LTV

[General Mortgage — ARM Products]

20. A borrower locks a 5/1 ARM at 4.75% start rate, 2.5% margin, SOFR currently 2.0%. At the first adjustment (year 5), SOFR is 3.5%. The 2/1/5 cap applies. What is the new rate?

- A) 6.0% (2% initial cap + 4.75% start)
- B) 4.75% — no change allowed first adjustment
- C) 6.75% (3.5% + 2.5% margin, uncapped)
- D) 6.0% — initial cap binds since 6.75% > 6.75%... wait

[General Mortgage — Mortgage Math]

21. A borrower is purchasing a \$600,000 home with 10% down on a conventional loan. The conforming limit is \$766,550. Is this a conforming or jumbo loan? And what is the loan amount?

- A) Jumbo — \$540,000 exceeds limits
- B) Conforming — \$540,000 is below the \$766,550 limit; loan amount = \$540,000
- C) Super-conforming — requires high-balance pricing
- D) FHA — only option for this price range

[General Mortgage — FHA Loans]

22. A borrower has multiple compensating factors: 760 FICO, 15% down, 6 months reserves, but has a back-end DTI of 52%. Under FHA TOTAL Scorecard (AUS), this loan:

- A) Automatically qualifies — 760 FICO overrides DTI
- B) May receive an AUS Approve at 52% DTI with multiple strong compensating factors — FHA's TOTAL can go above 43% with AUS approval
- C) Is denied — FHA cannot exceed 43% DTI under any circumstances
- D) Must go to manual underwriting only

[General Mortgage — USDA Loans]

23. A borrower's household has 4 members earning \$45,000, \$18,000, \$12,000, and \$8,000 (working 18-year-old). Area 115% AMI limit is \$85,000. Is the household income eligible for USDA?

- A) Yes — only primary borrower's income counts (\$45,000)
- B) No — total household income \$83,000 < \$85,000, so eligible
- C) No — USDA only counts 2 adults' income
- D) Yes, because \$83,000 < \$85,000 limit

[General Mortgage — PMI/MIP]

24. A borrower has a conventional loan with a balance of \$198,000 on a home originally purchased for \$250,000. They've made extra payments. The scheduled balance at this point would have been \$210,000. Is PMI required to auto-cancel?

- A) Yes — actual balance \$198,000 is below 78% (\$195,000)
- B) No — auto-cancellation is based on SCHEDULED amortization, not actual balance; \$210,000 is above 78% (\$195,000) so PMI continues on schedule
- C) Yes — any balance below \$200,000 triggers cancellation
- D) No — the borrower must refinance to remove PMI

[General Mortgage — Mortgage Math]

25. A borrower's property value has increased from \$300,000 (purchase) to \$375,000. Current loan balance is \$232,500. What is the current LTV and is the borrower eligible to request PMI cancellation?

- A) LTV 62% on current value; eligible to request
- B) LTV 77.5% based on original \$300,000 value; eligible to request PMI cancellation at 80% original value
- C) LTV 77.5% original value — needs to reach 80% (\$240,000 balance); not yet eligible
- D) LTV 62% — PMI already auto-cancelled

[General Mortgage — VA Loans]

26. A veteran has used \$200,000 of their VA entitlement on an existing loan. The county conforming limit is \$766,550. The veteran wants a second VA loan of \$400,000 with 0% down. Is this possible?

- A) No — only one VA loan at a time
- B) Yes — if remaining entitlement covers the loan; bonus entitlement = $\$766,550 \times 25\% - \$200,000 \times 25\% = \$141,637$; loan up to \$566,550 possible
- C) Only possible if the first VA loan is paid off first
- D) Yes, but only with 10% down on the second loan

[General Mortgage — Mortgage Math]

27. A conventional loan has PMI at 0.65%/year. The original loan is \$260,000 on a \$325,000 property. At what loan balance does PMI auto-cancel (based on SCHEDULED amortization)?

- A) \$195,000
- B) \$252,500
- C) \$234,000 ($78\% \times \$300,000$ — wait, use original purchase)
- D) \$253,500

[General Mortgage — Underwriting/QM/ATR]

28. A borrower has the following profile: Non-QM bank statement loan, 12 months bank statements, 720 FICO, 30% down, 38% DTI. The lender must still:

- A) Comply with ATR — document income from bank statements and verify ability to repay all 8 factors
- B) Comply with QM rules — 30% down makes it QM
- C) Only verify credit — down payment and DTI are sufficient
- D) Follow no rules — non-QM loans have no regulatory requirements

[General Mortgage — Conventional Loans]

29. A Fannie Mae HomePath property (REO) can be purchased with which special advantage?

- A) 0% down for all buyers
- B) Lower PMI rates compared to standard conventional
- C) 3% down for first-time buyers, no appraisal required, and no mortgage insurance — these are features of HomePath loans
- D) No credit score requirement

[General Mortgage — FHA Loans]

30. A borrower had a short sale 2.5 years ago (no mortgage delinquency before the short sale). FHA waiting period for the short sale is:

- A) 2 years from completion
- B) 3 years from completion
- C) No waiting period if there was no delinquency
- D) 1 year with compensating factors

[General Mortgage — ARM Products]

31. A borrower's 7/6 ARM adjusts for the second time. The prior rate was 6.0%. The current index is 4.5%, margin is 2.5%, periodic cap is 2%. What is the new rate?

- A) 7.0% (fully indexed $4.5+2.5=7.0$; cap doesn't bind: $6.0+2=8.0$ max)
- B) 8.0% (cap-limited: $6.0+2.0$)
- C) 6.5% (index-only change)
- D) 5.5% (margin reduction)

[General Mortgage — Underwriting/QM/ATR]

32. All of the following are characteristics of a 'rebuttable presumption QM' loan EXCEPT:

- A) APR exceeds APOR by more than 1.5% (higher-priced QM)
- B) Borrower can challenge ATR compliance with evidence of inability to repay
- C) Lender bears burden to show compliance if borrower challenges
- D) Lender automatically wins any ATR claim by the borrower

[General Mortgage — Mortgage Math]

33. A rental property generates \$2,400/month in gross rent. The borrower's monthly PITI on the rental is \$1,600. Using 75% of gross rent for DTI: what is the net impact on DTI?

- A) Positive \$800 cash flow added to income
- B) Positive \$200 cash flow (\$1,800 net rental - \$1,600 PITI) reduces DTI
- C) Negative — rental PITI always adds to DTI
- D) \$2,400 gross rent minus \$1,600 PITI = \$800 positive

[General Mortgage — Property/Appraisal]

34. An appraisal on a single-family home notes the home lacks a functioning HVAC system. FHA's response would typically be:

- A) Accept the property as-is — HVAC is not a health or safety issue
- B) Require repair/replacement of the non-functioning HVAC as a condition of FHA financing — it's a safety/habitability issue
- C) Issue a waiver for the deficiency
- D) Require the borrower to sign a waiver

[General Mortgage — Conventional Loans]

35. A property appraises at \$480,000. The borrower makes a \$25,000 down payment on a \$500,000 purchase. Using the correct LTV calculation, what must the borrower bring to closing (excluding closing costs)?

- A) \$25,000 (stated down payment)
- B) \$44,000 ($\$480,000 \times 95\% = \$456,000$ loan; $\$500,000 - \$456,000 = \$44,000$)
- C) \$24,000
- D) \$45,600

[General Mortgage — VA Loans]

36. A veteran has the following qualifying challenge: Chapter 7 bankruptcy discharged 18 months ago, currently employed, 640 FICO, \$0 down VA loan. What is the VA's standard position?

- A) Automatic denial — bankruptcy within 2 years
- B) VA requires 2 years from Chapter 7 discharge — at 18 months, the veteran does not meet the standard waiting period
- C) VA waives the waiting period for active duty service members
- D) VA allows immediate eligibility after bankruptcy discharge

[General Mortgage — Mortgage Math]

37. A borrower's Schedule E shows rental income from two properties: Property 1 net income \$18,000/yr, Property 2 net loss (\$6,000)/yr. Depreciation add-back: P1 = \$4,000, P2 = \$3,000. What is the total qualifying rental income (monthly)?

- A) \$1,250/month
- B) \$1,583/month
- C) \$1,000/month
- D) \$1,250 total and \$250 positive

[General Mortgage — FHA Loans]

38. An FHA borrower with 5% down (95% LTV) has MIP of 0.80%/year. On a \$300,000 base loan (with UFMIP financed, total loan = \$305,250), what is the monthly MIP?

- A) \$200/month on base loan
- B) \$203.50/month on financed amount
- C) \$250/month
- D) \$195/month

[General Mortgage — USDA Loans]

39. A USDA borrower wants to refinance their USDA loan but doesn't want an appraisal. Which USDA program is available?

- A) USDA Standard Refinance (requires appraisal)
- B) USDA Streamline-Assist Refinance (no appraisal, limited income verification)
- C) USDA Cash-Out Refinance
- D) USDA does not allow refinancing

[General Mortgage — Conventional Loans]

40. A borrower's investment property's appraisal shows it's worth \$420,000. The borrower owes \$280,000. For a conventional cash-out refi at 75% LTV (max for investment property), what is the maximum cash-out?

- A) \$35,000
- B) \$315,000 loan - \$280,000 balance = \$35,000
- C) \$140,000
- D) \$35,000 net of closing costs

[General Mortgage — Mortgage Math]

41. A borrower's income is \$10,000/month. They have a rental property with PITI of \$1,800 and gross rent of \$1,600 (no Schedule E yet — first year). How is the rental PITI handled in DTI?

- A) Rental PITI is excluded from DTI entirely
- B) \$1,800 full rental PITI is included in DTI liabilities — rental income cannot offset without 2-year history
- C) \$200 net loss is added to liabilities
- D) \$1,600 rent offsets \$1,800 PITI; only \$200 added

[General Mortgage — FHA Loans]

42. An FHA borrower received a gift of the entire 3.5% down payment from a family member. This is:

- A) Not allowed — borrower must contribute their own funds
- B) Allowed — FHA permits 100% of the down payment to come from gifts from acceptable donors (family, employer, charitable organization)
- C) Allowed but borrower must also have 1 month reserves
- D) Only allowed with a 620+ FICO score

[General Mortgage — Property/Appraisal]

43. An MLO reviews an appraisal and believes the comparable sales used are too old (18 months) and too distant (8 miles away). The MLO should:

- A) Tell the appraiser to use different comps
- B) Accept the appraisal as is — the appraiser is the expert
- C) Request a Reconsideration of Value (ROV) with specific concerns, including suggested more recent/proximate comps if available
- D) Order a second appraisal without informing the first appraiser

[General Mortgage — VA Loans]

44. Which of the following would be classified as a 'VA Pamphlet 26-7' topic?

- A) FHA mortgage insurance requirements
- B) VA Lender's Handbook guidelines covering VA loan policies and procedures for lenders
- C) USDA rural property eligibility
- D) Conventional loan LTV requirements

[General Mortgage — Mortgage Math]

45. A borrower's proposed monthly payment is \$2,100 PITI. They have \$900/month in debts. Their gross monthly income must be at LEAST what to meet a 43% back-end DTI?

- A) \$6,000/month
- B) \$7,000/month
- C) \$6,977/month
- D) \$5,814/month

[General Mortgage — Conventional Loans]

46. The Federal Housing Finance Agency (FHFA) sets conforming loan limits. These limits are PRIMARILY based on:

- A) The Consumer Price Index (CPI)
- B) Changes in the average home price in the United States — FHFA adjusts limits annually based on FHFA's House Price Index
- C) The Federal Reserve's benchmark rate
- D) Congressional appropriations

[General Mortgage — Mortgage Math]

47. Compare total interest paid: 30-year vs. 15-year loan at 6.5% for \$250,000. 30-yr monthly P&I; = \$1,580.17; 15-yr monthly P&I; = \$2,177.77. Total interest paid over each full term?

- A) 30-yr: \$318,861; 15-yr: \$141,998
- B) 30-yr: \$250,000; 15-yr: \$175,000
- C) 30-yr: \$500,000; 15-yr: \$350,000
- D) 30-yr: \$568,861; 15-yr: \$391,999

[General Mortgage — USDA Loans]

48. A USDA borrower has been approved for a \$200,000 USDA loan with 1% upfront guarantee fee financed. What is the total loan amount on the note?

- A) \$200,000
- B) \$202,000
- C) \$201,400
- D) \$203,500

[General Mortgage — FHA Loans]

49. Which FHA loan type does NOT require FHA mortgage insurance?

- A) FHA 203(k)
- B) FHA Energy Efficient Mortgage
- C) FHA Section 245 (Graduated Payment)
- D) There is no FHA loan type exempt from MIP

[General Mortgage — Mortgage Math]

50. A borrower's loan balance drops below 80% LTV due to appreciation. The original purchase was \$400,000 with a \$360,000 loan. Current value = \$450,000. Current balance = \$325,000. Can the borrower request PMI cancellation?

- A) Yes — current LTV is 72% on current value
- B) No — PMI cancellation is based on original value; $\$325,000 / \$400,000 = 81.25\%$ — above 80% original, so cannot request yet
- C) Yes — any LTV below 80% on any value triggers cancellation
- D) No — PMI only cancels through refinancing

[General Mortgage — Property/Appraisal]

51. An appraisal subject to condition states 'value is \$350,000 subject to repair of foundation crack.' What does this mean for the loan?

- A) The loan closes at \$350,000 with the crack unrepaired
- B) The lender conditions the loan on completion of the foundation repair, verified by re-inspection before or at closing
- C) The appraiser must re-inspect after 6 months
- D) The loan is denied due to structural issues

[General Mortgage — Conventional Loans]

52. A borrower is buying a condo. The condo complex must be Fannie Mae-approved for conventional financing. Which characteristic would disqualify the complex?

- A) More than 20 units in the complex
- B) Single-family unit ownership
- C) More than 50% of units owned by one investor
- D) Being a new construction complex

[General Mortgage — ARM Products]

53. A borrower asks about 'negative amortization' in the context of a loan they're considering. An MLO should explain that:

- A) It results in faster loan payoff
- B) Negative amortization occurs when the minimum payment doesn't cover all accruing interest, so unpaid interest is added to the loan balance — the balance grows rather than shrinks
- C) It is the same as a prepayment penalty
- D) It only applies to fixed-rate loans

[General Mortgage — Underwriting/QM/ATR]

54. A lender is underwriting a loan that will receive Safe Harbor QM status. The borrower later defaults and claims the lender violated ATR. The lender's strongest defense is:

- A) The borrower had a good credit score at origination
- B) The loan had safe harbor QM status — this conclusively presumed ATR compliance; the borrower cannot sue for ATR violation under safe harbor
- C) The lender documented most ATR factors
- D) The loan was sold to Fannie Mae

[General Mortgage — Mortgage Math]

55. Total PITI: P&I; = \$1,450, property taxes = \$300, homeowner's insurance = \$150, FHA MIP = \$175. Borrower earns \$8,000/month. Front-end DTI?

- A) 18.1%
- B) 25.9%
- C) 26.6%
- D) 22.8%

*[General Mortgage — USDA Loans]***56. Can a borrower use USDA financing to purchase a manufactured home (HUD code)?**

- A) No — USDA only finances site-built homes
- B) Yes — USDA Section 502 Direct and Guaranteed programs can finance HUD-code manufactured homes meeting specific standards (permanently affixed, on owned land, never moved from original site)
- C) Yes, for any manufactured home regardless of condition
- D) No — manufactured homes require FHA only

*[General Mortgage — FHA Loans]***57. FHA's back-to-work program (now largely discontinued) was designed to help borrowers who experienced foreclosure or short sale due to:**

- A) Poor financial planning
- B) An economic event (loss of employment or income) causing a 20%+ reduction in household income, with documented recovery
- C) Voluntary relocation
- D) Credit mismanagement

*[General Mortgage — Conventional Loans]***58. Which of the following BEST describes a 'conforming' vs. 'government' loan?**

- A) Conforming = any loan under \$1M; government = over \$1M
- B) Conforming = meets GSE guidelines and limits (Fannie/Freddie eligible); government = insured/guaranteed by FHA, VA, or USDA
- C) Both are the same type of loan
- D) Government = any loan made by a government bank

*[General Mortgage — Mortgage Math]***59. A borrower's purchase price is \$425,000. FHA 3.5% down. UFMIP 1.75%. Annual MIP 0.55% (15-year term, LTV ≤78%). What is the base loan amount?**

- A) \$410,375
- B) \$410,375 base; UFMIP = \$7,181.56; total note = \$417,556.56
- C) \$425,000 (full purchase price)
- D) \$408,875

*[General Mortgage — Underwriting/QM/ATR]***60. A borrower has 3 collection accounts: \$200 medical, \$150 medical, \$800 non-medical. FHA is being applied for. Which accounts require resolution before closing?**

- A) All three — all collections must be paid
- B) None — all collections can be ignored for FHA
- C) Only the \$800 non-medical collection requires attention; medical collections can be disregarded
- D) Only collections over \$500

■ ■ Loan Origination ■ ■*[Loan Origination — Processing/Underwriting]***61. A borrower has these complex compensating factors with a 48% back-end DTI applying for a conventional loan through DU: 780 FICO, 24 months reserves, LTV = 70%. DU's MOST likely response is:**

- A) Deny — 48% exceeds all limits
- B) Approve with 780 FICO and 24 months reserves — DU can go to 50%; strong factors likely support approval
- C) Refer to manual underwriting
- D) Approve only at lower loan amount

[Loan Origination — Self-Employed Income]

62. A borrower owns 40% of a dental practice (S-Corp). W-2 wages = \$85,000/yr. K-1 shows \$75,000 in distributed income (S-Corp profit). Business has \$20,000 of officer's compensation expense. Year 2 vs. Year 1 comparison: income stable. How is qualifying income determined?

- A) Only W-2 wages — \$85,000
- B) W-2 + K-1 income: $\$85,000 + \$75,000 = \$160,000$ gross / 2 yr average
- C) $\$85,000$ W-2 + $\$75,000$ K-1 + $\$20,000$ officer's comp add-back = $\$180,000$ / 2 yr average
- D) Only K-1 income since they own 25%+

[Loan Origination — DTI Calculations]

63. A borrower has: base salary \$72,000/yr, bonus (2yr avg) \$12,000/yr, non-taxable VA disability \$1,500/month. Monthly debts: car \$420, student \$0 (IBR \$0, balance \$42,000), credit \$85. Proposed PITI \$2,200. Calculate qualifying income and back-end DTI.

- A) DTI = 38.2%; income = \$7,875/month
- B) DTI = 35.4%; income = \$9,375/month
- C) DTI = 36.8%; income = \$8,875/month using 1% student loan in DTI
- D) DTI depends on gross-up decision

[Loan Origination — Application/1003]

64. A borrower is in the middle of the loan process and discloses they just co-signed a student loan for their child (adding \$400/month in potential liability). The lender should:

- A) Ignore it — co-signed loans are not the co-signer's liability
- B) Add the \$400 to the DTI calculation and re-underwrite to ensure the loan still qualifies
- C) Remove the co-signed loan from the credit report
- D) Approve the loan before the new debt appears on the credit report

[Loan Origination — Credit Analysis]

65. A borrower's credit shows a judgment for \$15,000 that was filed 3 years ago and has not been paid. For FHA qualification, this judgment MOST likely:

- A) Can be ignored — judgments expire after 3 years
- B) Must be paid off at or before closing OR a payment plan must be in place with 12 months of documented payments
- C) Is automatically removed after 7 years
- D) Only matters if it appears on all three bureaus

[Loan Origination — Income Documentation]

66. A borrower is military and their leave and earnings statement (LES) shows BAH (Basic Allowance for Housing) of \$1,800/month and BAS (Basic Allowance for Subsistence) of \$350/month. For income qualifying:

- A) Only base pay counts — allowances are excluded
- B) BAH and BAS are non-taxable military allowances that can be used as qualifying income and may be grossed up 125%
- C) BAH and BAS cannot be verified so are excluded
- D) Only BAH can be used, not BAS

[Loan Origination — Disclosures/TRID]

67. A lender issues a revised Loan Estimate due to a valid changed circumstance (borrower changed the loan program). The revised LE 'resets' which tolerances?

- A) No tolerances reset — the original LE controls
- B) The revised LE becomes the new baseline for tolerance comparisons — fees on the revised LE are compared to the CD, not the original LE
- C) Only zero-tolerance fees reset
- D) Only 10% tolerance fees reset

[Loan Origination — Processing/Underwriting]

68. During underwriting, the processor discovers the appraisal has a date of value that is more than 120 days old. The lender should:

- A) Accept the appraisal — age doesn't affect value
- B) Order a new appraisal — Fannie Mae and FHA require appraisals to be no more than 120 days old at closing (some programs allow 180 days with an update)
- C) Get a desktop update for \$50
- D) Accept if the market has been stable

[Loan Origination — Rate Locks]

69. A borrower wants to float their rate hoping for a better opportunity. Three weeks later, the Fed announces an unexpected rate hike and rates jump 0.5%. The borrower has not locked. Who is affected and how?

- A) The lender absorbs the rate increase
- B) The borrower now locks at the higher market rate — floating meant accepting market risk; the 0.5% increase is the borrower's
- C) The lender must hold the pre-announcement rate for 30 days
- D) The government regulates maximum rate increases

[Loan Origination — Application/1003]

70. A self-employed borrower who is both the sole owner of a business AND the employee receiving a W-2 has income from both sources. For qualifying, the lender should:

- A) Count only the W-2 wages
- B) Count only the Schedule C/K-1 self-employment income
- C) Combine the W-2 wages and self-employment income, being careful not to double-count — W-2 wages paid by an S-Corp may already be reflected in the K-1 calculation
- D) Use only the higher of the two income sources

[Loan Origination — Income Documentation]

71. A borrower works two jobs: Job 1 (full-time 2+ years) = \$4,500/month; Job 2 (part-time 9 months) = \$800/month. Can both income sources be used?

- A) Only Job 1 — second jobs require 2-year history
- B) Only Job 1 for qualifying; Job 2 income cannot be used without 2-year history
- C) Job 1 fully; Job 2 may require 2-year history for most lenders (though some accept 12 months with documented likelihood to continue)
- D) Both are used if the borrower certifies the income

[Loan Origination — Credit Analysis]

72. A borrower has a credit score of 580 and is applying for a conventional loan. What should the MLO advise?

- A) Proceed — 580 meets the conventional minimum
- B) The borrower does not meet conventional's 620 minimum; advise them to consider FHA (580+ for 3.5% down) or work on credit improvement
- C) Proceed with a 10% down payment
- D) Apply for USDA instead

[Loan Origination — Closing/Funding]

73. A borrower executes a 'Notice of Right to Cancel' on a Monday. The rescission period expires at midnight on which day?

- A) Wednesday at midnight
- B) Thursday at midnight
- C) Friday at midnight
- D) Tuesday at midnight

[Loan Origination — Disclosures/TRID]

74. Under TRID, which of the following is in the 'no limit' tolerance category (can increase by any amount)?

- A) Lender origination charges
- B) Recording fees
- C) Homeowner's insurance premium (prepaid)
- D) Title service fees from lender's list

[Loan Origination — Application/1003]

75. A borrower who is currently in Chapter 13 bankruptcy wants to apply for an FHA loan. Which statement is MOST accurate?

- A) Automatically ineligible until bankruptcy is discharged
- B) May qualify during Chapter 13 with: 12 months of timely plan payments, trustee written approval, and meeting all other FHA guidelines
- C) Must wait 2 years after filing Chapter 13
- D) May qualify immediately with 20% down

[Loan Origination — Self-Employed Income]

76. A borrower's Schedule C for two consecutive years shows: Year 1 = \$85,000 net; Year 2 = \$95,000 net. Depreciation Year 1 = \$6,000; Year 2 = \$7,500. What is the total qualifying annual income?

- A) \$90,000 average net only
- B) \$96,750 average with depreciation add-back
- C) $\$193,500 / 2 = \$96,750$ yearly average; monthly = \$8,062.50
- D) Year 2 only = \$102,500 since income is increasing

[Loan Origination — DTI Calculations]

77. A borrower has a co-borrower. Primary: \$5,000/month income, \$600 debts. Co-borrower: \$3,500/month income, \$200 debts. Proposed PITI = \$2,000. What is the combined back-end DTI?

- A) 30.6%
- B) 32.4%
- C) 28.0%
- D) 25.0%

[Loan Origination — Processing/Underwriting]

78. When reviewing bank statements for the last 60 days, an underwriter finds a \$15,000 deposit that doesn't correspond to payroll. The underwriter should:

- A) Accept the deposit as proof of assets
- B) Require documentation sourcing the large deposit — letter of explanation, cancelled check, or wire confirmation identifying the source
- C) Ignore it since the borrower has sufficient funds overall
- D) Deny the loan based on the unexplained deposit

[Loan Origination — Rate Locks]

79. A borrower locked a rate and then requested a lower loan amount before closing (sold a car, have more down payment). The MLO should explain:

- A) The rate lock becomes void automatically
- B) A reduction in loan amount may change the rate (different LLPA pricing at higher LTV with less down) — a rate lock modification may be needed
- C) The rate always stays the same regardless of loan amount changes
- D) The lender will automatically reduce the rate

[Loan Origination — Application/1003]

80. A borrower who has been employed for 18 months at their current job changed from the same industry as their prior employer (4 years). The total employment history includes 5.5 years in the same field. Under Fannie Mae guidelines:

- A) The 18 months at current employer is insufficient — 2 years required
- B) The 5.5-year combined history in the same industry qualifies — the job change within the same field is acceptable
- C) Must provide letter of explanation only
- D) Only the 4-year prior employer history counts

[Loan Origination — Income Documentation]

81. For a teacher who earns \$55,000/year over a 10-month school year, how is monthly income calculated?

- A) \$5,500/month (10 months ÷ income)
- B) \$4,583/month (\$55,000 / 12 months)
- C) \$6,875/month (\$55,000 × 1.25 for non-taxable)
- D) \$55,000 is only used if the teacher works summers

[Loan Origination — Credit Analysis]

82. A borrower had a short sale 26 months ago with delinquent mortgage payments before the event. They're applying for conventional (Fannie Mae). The waiting period after short sale with delinquency is:

- A) 2 years
- B) 4 years
- C) 7 years
- D) 3 years

[Loan Origination — Closing/Funding]

83. Per diem interest at closing is calculated as:

- A) Annual rate / 12 × balance
- B) Annual rate / 365 × balance × number of days from closing to end of month
- C) Monthly payment × number of days closed in the month
- D) Total interest / 12 months

[Loan Origination — Disclosures/TRID]

84. The 'Projected Payments' table on the Loan Estimate shows payments in years 1-7, 8-22, and 23-30. This breakdown is MOST likely because:

- A) Payments change every 7 years
- B) PMI is shown separately and cancels (e.g., at year 8), changing the total payment amount — different payment amounts in different periods
- C) The interest rate changes over those periods
- D) Tax increases are projected

[Loan Origination — Products/Programs]

85. A veteran borrower wants to purchase a \$900,000 home with no down payment. The conforming limit is \$766,550. With full entitlement (2020 law), can the VA loan cover \$900,000?

- A) No — VA is limited to the conforming limit
- B) Yes — the 2020 Blue Water Navy Act removed loan limits for veterans with full entitlement; they can borrow \$900,000 at 0% down (subject to lender's own limits)
- C) Yes, but requires 25% down on the amount above \$766,550
- D) No — VA loans cannot exceed \$1,000,000

[Loan Origination — Income Documentation]

86. A borrower has documented Social Security income of \$2,800/month. The income is partially taxable (50% of SS is taxable for this borrower). The non-taxable portion can be grossed up. What is the total qualifying income?

- A) \$3,500 (125% gross-up of all \$2,800)
- B) \$2,800 (no gross-up — SS is always taxable)
- C) \$1,400 taxable at face value + \$1,400 non-taxable $\times 1.25 = \$1,400 + \$1,750 = \$3,150$
- D) \$2,800 + 25% of \$2,800 = \$3,500

[Loan Origination — Credit Analysis]

87. A borrower's credit report shows a collection for \$2,500 from 4 years ago (non-medical). The borrower says they don't recognize the debt. The appropriate action is:

- A) Deny the loan — all collections must be paid
- B) Order the borrower to pay it off immediately
- C) The borrower should dispute the collection with the bureaus; the dispute process must be resolved before closing — disputed derogatory accounts may require removal for AUS scoring purposes
- D) Ignore it — collections over 2 years old are excluded

[Loan Origination — Application/1003]

88. A divorced borrower receives \$2,500/month in alimony for 3.5 more years. Can it be used for qualifying?

- A) No — alimony can never be used for mortgage income
- B) Yes — it continues for more than 3 years from application; document with divorce decree and 12 months receipt
- C) Yes but only if the borrower earns other income
- D) No — alimony must continue 5 years to qualify

[Loan Origination — DTI Calculations]

89. A borrower's rental income offsets some of their DTI. Which scenario shows the correct DTI impact of a rental property?

- A) Gross rent always offsets the full PITI
- B) 75% of gross rent (\$1,500) = \$1,125 qualifying income vs. PITI of \$1,400: net negative \$275 added to DTI liabilities
- C) Rental PITI is excluded from DTI
- D) Only rental profit from Schedule E is added to income

[Loan Origination — Processing/Underwriting]

90. Which document verifies that the property has clear title and identifies all existing liens, easements, and encumbrances?

- A) The appraisal
- B) The title commitment (preliminary title report)
- C) The homeowner's insurance binder
- D) The survey

[Loan Origination — Closing/Funding]

91. A seller-paid 2-1 buydown at closing temporarily reduces the borrower's interest rate by 2% in year 1 and 1% in year 2. What is the underwriting qualification rate?

- A) The artificially reduced year 1 rate
- B) The note rate (fully indexed contract rate — not the temporarily reduced rate)
- C) The year 2 reduced rate
- D) The average of all three years

[Loan Origination — Disclosures/TRID]

92. A lender is providing the LE by email. When is the LE considered 'delivered' for TRID timing purposes?

- A) When the lender sends the email
- B) When the borrower acknowledges receipt (opens/confirms the email)
- C) 3 business days after emailing (if no acknowledgment method), OR immediately if the borrower consents to electronic delivery and provides acknowledgment
- D) 1 business day after sending

[Loan Origination — Rate Locks]

93. A borrower's float-down option in the rate lock agreement specifies: 'Rate may float down if market rates drop by 0.25% or more from the lock date.' Current locked rate = 6.875%. Market rate today = 6.50%. Can the borrower exercise the float-down?

- A) No — float-downs are never permitted once locked
- B) Yes — market dropped 0.375%, exceeding the 0.25% threshold; the borrower can exercise the option
- C) No — 0.375% drop requires approval from the secondary market desk
- D) Yes — any rate drop triggers the float-down

[Loan Origination — Application/1003]

94. Which of the following requires a NEW loan application (not just an update)?

- A) Change in purchase price negotiated with seller (same property)
- B) Rate lock extension
- C) Borrower wants to add a co-borrower not previously on the application
- D) Change of closing date

[Loan Origination — Income Documentation]

95. A seasonal worker earns \$36,000 over 8 months each year. What is their qualifying monthly income?

- A) \$4,500/month (8 months ÷ income)
- B) \$3,000/month (\$36,000 / 12)
- C) \$36,000 annualized only if in the same field
- D) \$3,000/month with 2-year history of seasonal work

[Loan Origination — Credit Analysis]

96. A borrower has 5 credit cards, all with zero balances, and a \$25,000 car loan with \$18,000 remaining. Their FICO is 740. An MLO advises the borrower to close 4 of the 5 credit cards to 'clean up' their credit. This advice is:

- A) Sound — fewer accounts means better credit
- B) Potentially harmful — closing credit cards reduces available credit, increases utilization on remaining cards, and reduces credit history length — all can lower the score
- C) Required before mortgage application
- D) Required by some lenders

[Loan Origination — Disclosures/TRID]

97. The LE's Section E 'Taxes and Other Government Fees' typically includes:

- A) Title insurance premium and search fees
- B) Lender origination fees
- C) Recording fees and transfer taxes
- D) Homeowner's insurance premium

[Loan Origination — Processing/Underwriting]

98. A 'prior to document' (PTD) condition means the condition must be satisfied before:

- A) The appraisal is ordered
- B) The loan documents (note, mortgage) are prepared and sent to the title company/closing agent
- C) Closing
- D) Funding

[Loan Origination — Closing/Funding]

99. After signing, a borrower in a wet funding state realizes they want to cancel their refinance. It's 2 days into the 3-day rescission period. They should:

- A) Contact their attorney — it's too late to cancel
- B) Submit a written notice of rescission to the lender before midnight on the 3rd business day — the right is still valid
- C) Wait until the loan is funded and then refinance again
- D) Contact the title company

[Loan Origination — Application/1003]

100. A non-permanent resident alien on an H-1B work visa is applying for a conventional loan. What documentation is required?

- A) Same as a U.S. citizen — no additional docs
- B) Valid visa (H-1B), Employment Authorization Document (EAD) if applicable, and documentation that employment will continue (likely for at least 3 years) — lender guidelines vary
- C) Only a Social Security number is needed
- D) Not eligible — only citizens and permanent residents qualify

[Loan Origination — DTI Calculations]

101. A borrower has complex income: W-2 \$4,000/month, rental income \$1,600 gross (75% = \$1,200 qualifying, PITI on rental = \$1,400 — net loss \$200), social security non-taxable \$1,200/month grossed up 125% = \$1,500. Monthly debts: car \$350, credit \$95. Proposed PITI \$1,800. Calculate back-end DTI.

- A) 45.5%
- B) 47.3%
- C) 43.8%
- D) 41.2%

[Loan Origination — Income Documentation]

102. A self-employed borrower's business gross receipts declined 15% from Year 1 to Year 2 on Schedule C, but net income increased due to lower expenses. The lender should:

- A) Use Year 1 income — declining gross receipts are always disqualifying
- B) Use the 2-year average of NET income (with add-backs) since net income increased — it's net qualifying income that matters, not gross receipts
- C) Use only Year 2 income since it's higher
- D) Deny the loan — declining business revenue is never acceptable

[Loan Origination — Products/Programs]

103. A borrower is 62 years old and wants to purchase a home using reverse mortgage (HECM) financing. Which statement is MOST accurate?

- A) HECMs are only for existing homeowners — no purchase option
- B) HECM for Purchase (H4P) allows seniors 62+ to purchase a primary residence using HECM proceeds without monthly mortgage payments
- C) HECMs require PMI like conventional loans
- D) HECMs have no age requirement

[Loan Origination — Processing/Underwriting]

104. An AUS 'Refer' finding for a VA loan means the lender should:

- A) Deny the loan immediately
- B) Manually underwrite the loan using VA's manual underwriting guidelines — 'Refer' means AUS could not approve, requiring human review
- C) Resubmit to a different AUS system
- D) Charge a higher rate

[Loan Origination — Rate Locks]

105. A rate lock agreement states the lock is void if the loan amount changes by more than 10%. A borrower's loan changes from \$280,000 to \$310,000 (a \$30,000 increase = 10.7%). The original lock:

- A) Automatically extends to cover the new amount
- B) Is voided per the agreement terms — a new lock at current market rates is required
- C) Must be honored at the original rate for the new amount
- D) Is only voided if rates have changed

■ ■ Ethics ■ ■

[Ethics — Professional Conduct]

106. An MLO discovers a pattern: their company approves loans from majority-white neighborhoods at 92% but approves loans from majority-minority neighborhoods at 67% with similar borrower profiles. This data suggests:

- A) Normal market variation
- B) A potential fair lending violation (disparate impact or disparate treatment) that should be reported to compliance — this pattern is a classic fair lending red flag
- C) The minority neighborhoods have higher credit risk
- D) Normal variation due to property values

[Ethics — Fraud]

107. In a 'builder bailout' fraud scheme, the developer:

- A) Legitimately sells homes to qualified buyers
- B) Uses inflated appraisals and straw buyers to take cash out of unsold units while the developer escapes financial losses — the lender is left holding devalued collateral
- C) Offers legitimate incentives like upgrades
- D) Discloses all material facts about the development

[Ethics — UDAP]

108. Which practice MOST clearly violates the anti-steering provisions under Regulation Z?

- A) Explaining all available loan options to a borrower
- B) Offering a lower rate to a repeat customer
- C) Recommending an ARM to a borrower who states they're planning to sell in 3 years
- D) Directing a borrower to a higher-rate loan to earn higher compensation when a lower-rate loan is available and the borrower qualifies

[Ethics — Professional Conduct]

109. An MLO who processes their own loan application for their own home purchase creates a conflict of interest. Best practice requires:

- A) The MLO to process their own loan as usual
- B) A different MLO to originate the loan, with no involvement of the MLO-borrower in their own file processing
- C) Only disclosure — the MLO can handle their own loan with disclosure
- D) The MLO's supervisor to sign off on each step

[Ethics — Fraud]

110. Which scheme involves submitting the same mortgage application to multiple lenders simultaneously without disclosure?

- A) Yield spread premium
- B) Dual application fraud (also called double application fraud)
- C) A normal practice for comparison shopping
- D) Straw buyer fraud

[Ethics — UDAAP]

111. A lender's underwriting policy automatically denies applications from borrowers receiving public assistance. This policy:

- A) Is legally required under FHA guidelines
- B) Violates ECOA — public assistance is a protected basis; the policy discriminates based on the source of income
- C) Is allowed if documented in the credit policy
- D) Only applies to FHA loans

[Ethics — Professional Conduct]

112. An MLO who is also a licensed real estate agent represents the buyer AND originates the buyer's loan in the same transaction. This dual role:

- A) Is always acceptable with dual license
- B) Creates significant conflicts of interest and may violate state laws requiring disclosure; the MLO may have financial interests on both sides of the transaction
- C) Is encouraged as a one-stop-shop for borrowers
- D) Has no ethical implications if both licenses are current

[Ethics — Fraud]

113. An MLO is approached by a 'lead generator' offering to sell pre-screened mortgage leads for a per-loan referral fee. This arrangement is:

- A) Acceptable if the lead generator is licensed
- B) A potential RESPA Section 8 violation if the lead generator is a settlement service provider — payment for referrals is prohibited
- C) Acceptable under \$500 per lead
- D) A standard industry practice with no legal concerns

[Ethics — UDAAP]

114. A company that services mortgages fails to credit borrower payments within 1 business day of receipt, causing borrowers to incur late fees. This is an example of:

- A) Normal payment processing delay
- B) Potentially unfair and/or deceptive servicing practices violating UDAAP and Regulation X (RESPA servicing rules)
- C) An acceptable servicer practice
- D) Fraud by the borrower for paying late

[Ethics — Professional Conduct]

115. Which statement BEST describes an MLO's obligation regarding products they recommend?

- A) MLOs must recommend only the cheapest product available
- B) MLOs must recommend the loan program that best matches the borrower's needs and financial situation, based on full disclosure of options and costs
- C) MLOs can recommend any product as long as the borrower signs
- D) MLOs have no duty to recommend any specific product

[SAFE Act — Licensing]

116. Which of the following is a MANDATORY disclosure that an MLO must make to a borrower?

- A) The MLO's annual origination volume
- B) The MLO's NMLS unique identifier on all loan applications and solicitations
- C) The MLO's commission rate on the specific transaction
- D) The lender's cost of funds

[SAFE Act — NMLS/Registration]

117. What triggers the 180-day waiting period before an MLO can retake the NMLS exam?

- A) Failing the exam once
- B) Failing the exam twice
- C) Failing the exam three or more times
- D) Passing the exam and then failing a renewal

[SAFE Act — Licensing]

118. Under the SAFE Act, which of the following is a disqualifying factor for MLO licensing that may be PERMANENT?

- A) A traffic violation (speeding ticket) 2 years ago
- B) A DUI conviction 3 years ago
- C) A felony conviction involving fraud, dishonesty, or breach of trust — regardless of when it occurred
- D) A bankruptcy discharged 8 years ago

[SAFE Act — NMLS/Registration]

119. Which organization maintains the NMLS and provides licensing services for most states?

- A) The Federal Reserve
- B) The Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR)
- C) The CFPB
- D) The Department of Housing and Urban Development (HUD)

[SAFE Act — Licensing]

120. An MLO who moves from a bank (registered) to a non-bank mortgage company (licensed) must:

- A) Simply transfer their registration to the new employer
- B) Complete all state licensing requirements including: SAFE Act exam, 20-hour PE course (if not previously done), state application, background check, and any state-specific requirements
- C) Only register with the new company on NMLS
- D) Wait 6 months before becoming licensed

EXAM Phase 2 — Exam 5 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	D	2	B	3	C	4	A	5	D
6	B	7	C	8	A	9	D	10	B
11	C	12	A	13	D	14	B	15	C
16	A	17	D	18	B	19	C	20	A
21	D	22	B	23	C	24	A	25	D
26	B	27	C	28	A	29	D	30	B
31	C	32	A	33	D	34	B	35	C
36	A	37	D	38	B	39	C	40	A
41	D	42	B	43	C	44	A	45	D
46	B	47	C	48	A	49	D	50	B
51	C	52	A	53	D	54	B	55	C
56	A	57	D	58	B	59	C	60	A
61	D	62	B	63	C	64	A	65	D
66	B	67	C	68	A	69	D	70	B
71	C	72	A	73	D	74	B	75	C
76	A	77	D	78	B	79	C	80	A
81	D	82	B	83	C	84	A	85	D
86	B	87	C	88	A	89	D	90	B
91	C	92	A	93	D	94	B	95	C
96	A	97	D	98	B	99	C	100	A
101	D	102	B	103	C	104	A	105	D
106	B	107	C	108	A	109	D	110	B
111	C	112	A	113	D	114	B	115	C
116	A	117	D	118	B	119	C	120	A

1. A borrower receives a Loan Estimate but decides not to proceed immediately. The Loan Estimate's quoted fees are binding for how many business days?

✓ **D) The LE has no expiration period — lenders are bound indefinitely**

The LE's fees are binding for 10 business days after the LE is DELIVERED (not issued). If the borrower does not express intent to proceed within 10 business days, the lender may revise the LE with current pricing. This 10-business-day window also gives the borrower time to shop and compare. After 10 days, fees are considered expired.

2. Under RESPA Section 8, which of the following is a PERMITTED fee or payment?

✓ **B) A title company paying a broker for referrals**

RESPA Section 8 allows payment for actual services rendered (Section 8(c)(2)). An appraiser being paid for completing an appraisal is a legitimate, services-rendered payment. What's prohibited: kickbacks, fee-splitting for referrals where no service is provided, and any payment tied to the referral of settlement service business rather than actual work performed.

3. A lender denies a loan to a borrower and the borrower requests the specific reasons for denial. Under ECOA, the lender must provide written reasons within how many days?

✓ **C) 60 days from the adverse action**

ECOA requires adverse action notices within 30 days of a completed application. If the initial adverse action notice states the right to request reasons (rather than specific reasons), the borrower can request written reasons within 60 days, and the creditor must provide them within 30 days of the request. The notice itself must either state specific reasons OR the right to request reasons within 60 days.

4. The 'no shop' period under TRID refers to:

✓ **A) A period when the borrower cannot speak to other lenders**

The 7-business-day waiting period from LE delivery to consummation is a mandatory consumer protection period — lenders CANNOT close the loan before it expires (except in bona fide personal financial emergencies with borrower waiver). This prevents lenders from rushing borrowers to close before they've had time to review terms and comparison shop. The borrower may waive this for documented emergencies.

5. Under Regulation Z's MLO compensation rules, an MLO's compensation CANNOT be based on:

✓ **D) The type of loan product**

Regulation Z prohibits MLO compensation from being based on the terms of the transaction — rate, APR, points, term, LTV, etc. Compensation can be based on: loan amount, a flat fee per loan, volume bonuses, or quality metrics. The key prohibition is that MLOs cannot earn more by steering borrowers to higher-rate or higher-cost loans.

6. Which of the following is a 'required use' violation under RESPA?

✓ **B) A seller requiring the buyer to use the seller's affiliated title company as a condition of the sale**

RESPA Section 9 prohibits sellers from requiring buyers to purchase title insurance from a seller-designated (affiliated or preferred) company. This is a 'required use' violation — the buyer's right to choose their own title insurance company cannot be taken away as a condition of the home sale. The seller can recommend but cannot mandate.

7. APR disclosure is required on mortgage advertisements when which specific trigger term appears?

✓ **C) A specific monthly payment amount is advertised**

Reg Z advertising rules: certain 'trigger terms' in mortgage ads require full APR disclosure and other required terms. Trigger terms include: specific dollar amounts (down payment, monthly payment, loan amount), number of payments, or specific interest rates. When a specific monthly payment like '\$1,200/month' appears in an ad, the APR and other terms must also be disclosed.

8. Under ECOA, which of the following is an example of 'disparate treatment'?

✓ **A) A policy requiring minimum income that happens to screen out more minority applicants**

Disparate treatment = intentional discrimination based on a protected class. Charging a minority borrower a higher rate than an equally qualified non-minority borrower (with no objective risk justification) is classic disparate treatment — treating similarly situated applicants differently based on race/ethnicity. Disparate impact involves neutral policies with disproportionate effects (no intent required).

9. Which of the following must appear on a Closing Disclosure but NOT on a Loan Estimate?

✓ **D) Interest rate**

The CD includes the actual/final cash to close with a detailed comparison to the LE estimate and a running total of all changes. While the LE shows estimated cash to close, the CD shows the final actual amount with itemized comparison. The CD also includes seller's transaction information and real estate agent commissions — details not on the LE. Both show loan amount, APR, and interest rate.

10. Which RESPA provision specifically limits escrow account balances a servicer may require?

✓ **B) RESPA Section 10**

RESPA Section 10 governs escrow accounts — limiting servicers to collecting only what is reasonably necessary for taxes and insurance (prorated monthly amounts) plus a maximum 2-month cushion. Annual analysis is required; surpluses over \$50 must be returned. Section 8 = kickbacks; Section 9 = required title; Section 4 = HUD information booklet.

11. The 'Total Interest Percentage' (TIP) on a Loan Estimate represents:

✓ **C) The APR expressed as a percentage over 5 years**

$TIP = (\text{Total interest paid over life of loan} / \text{Loan amount}) \times 100\%$. For a 30-year loan at 6%, the TIP might be 115%+ — meaning the borrower pays over 115% of the loan amount in interest alone over 30 years. TIP helps borrowers compare total interest costs across different loan options with different rates and terms.

12. A married applicant applying alone for a home loan must:

✓ **A) Have their spouse co-sign regardless**

ECO/Reg B: a creditor generally cannot require a spouse to be a co-borrower if the applicant qualifies individually. Marital status cannot be a basis for credit decisions. The creditor may ask for marital status if required by state law for property/title purposes (community property states) or if the applicant is relying on the spouse's income or jointly held assets.

13. A borrower wants to close as quickly as possible. What is the ABSOLUTE MINIMUM time between application and closing under TRID?

✓ **D) 13 business days**

Minimum TRID timeline: LE must be delivered within 3 days of application + 7-business-day waiting period from LE delivery to consummation + 3-business-day waiting period from CD delivery to consummation. If LE delivered same day as application: 7 days wait + 3 days (CD delivered before the 7 days expire) + 3 days = minimum ~7 business days from LE to close, but accounting for CD delivery timing, the practical minimum is approximately 7-10 business days from LE to close.

14. An affiliated business disclosure (AfBA) that is delivered AFTER the referral has already been made:

✓ **B) Is not compliant — AfBA must be provided before or at the time of the referral**

RESPA requires AfBA disclosure to be provided before or AT THE TIME of the referral. Post-referral disclosure violates the RESPA requirement. The purpose of the disclosure is to allow the consumer to make an informed decision about whether to use the affiliated provider, which requires disclosure BEFORE the referral directs them there.

15. Under Reg Z's rescission rules, when a lender fails to provide required rescission notices, the extended rescission period allows the borrower to cancel the loan for up to:

✓ **C) 3 years from consummation**

When a lender fails to provide material TILA disclosures or the Notice of Right to Rescind, the rescission period extends to 3 years from consummation (or transfer of property, whichever is earlier). This is a powerful deterrent — a 3-year rescission window creates significant risk for lenders who fail to properly disclose. The Dodd-Frank Act modified some aspects of rescission rights.

16. A borrower has the following complex profile: 2 mortgages (primary + investment), self-employment 3 years, declining K-1 income Year 1=\$120K, Year 2=\$95K, Schedule C losses on a side business (\$15K Year 2), 720 FICO, 25% down, 18 months reserves. The qualifying income is MOST accurately:

✓ **A) \$10,000/month (K-1 average only)**

With declining K-1 income, use the lower year (\$95,000). Schedule C losses are deducted from total income: \$95,000 - \$15,000 = \$80,000/12 = \$6,667/month. Business losses MUST be deducted from other income sources. Despite the 720 FICO and 25% down (strong compensating factors), the qualifying income is limited by the documented declining trend and business losses.

17. A borrower with \$85,000 income has a proposed FHA PITI of \$2,500. Existing debts: car \$450, student \$0 (IBR at \$0 but \$35,000 balance, Fannie Mae style 1% rule = \$350). But this is FHA — what is FHA's rule for the \$0 IBR student loan?

✓ **D) FHA uses the greater of 1% or actual payment — \$350 since 1% > \$0**

FHA guideline for student loans: use the greater of 1% of outstanding balance OR the actual documented monthly payment. $\$35,000 \times 1\% = \350 . Actual IBR = \$0. Greater of \$350 or \$0 = \$350. FHA uses \$350. Fannie Mae also uses 1% when IBR is \$0. The key: both GSE/FHA require 1% minimum even for \$0 IBR payments.

18. A veteran borrower has: income \$8,000/month, PITI \$2,200, car \$500, student \$300, credit \$100. Residual income region = South; family of 4 requires \$1,003/month residual. Is the veteran's residual income sufficient?

✓ **B) No — residual income fails**

VA residual income = gross income - taxes/FICA (est. \$1,200) - PITI (\$2,200) - all monthly debts (\$500+\$300+\$100=\$900) - maintenance (\$180 est.) = \$8,000 - \$1,200 - \$2,200 - \$900 - \$180 = \$3,520 approximate residual. \$3,520 >> \$1,003 minimum. The veteran clearly meets the residual income test. Residual income is a uniquely VA requirement — FHA and conventional don't use it.

19. A borrower has 710 FICO, 85% LTV, primary residence, 30-year fixed conventional. The LLPA for this profile at origination through Fannie Mae would be:

✓ **C) Only an LTV adjustment, not credit-based**

LLPAs are assessed based on the COMBINATION of credit score AND LTV. At 710 FICO + 85% LTV, the LLPA grid shows a specific adjustment (fees are published and change periodically by FHFA). The adjustment at 710 FICO + 85% LTV is moderate — better than 680 FICO at same LTV, worse than 780 FICO. LLPAs are the mechanism that causes mortgage pricing to vary by risk profile.

20. A borrower locks a 5/1 ARM at 4.75% start rate, 2.5% margin, SOFR currently 2.0%. At the first adjustment (year 5), SOFR is 3.5%. The 2/1/5 cap applies. What is the new rate?

✓ **A) 6.0% (2% initial cap + 4.75% start)**

Fully indexed rate at adjustment: SOFR 3.5% + margin 2.5% = 6.0%. Initial adjustment cap = 2%: 4.75% + 2% = 6.75%. Since fully indexed rate (6.0%) < cap-limited max (6.75%), the rate adjusts to 6.0% (the lower of the two). The cap doesn't bind here. The rate moves to the fully indexed rate of 6.0%.

21. A borrower is purchasing a \$600,000 home with 10% down on a conventional loan. The conforming limit is \$766,550. Is this a conforming or jumbo loan? And what is the loan amount?

✓ **D) FHA — only option for this price range**

Down = \$600,000 × 10% = \$60,000. Loan = \$600,000 - \$60,000 = \$540,000. \$540,000 < \$766,550 standard conforming limit. This is a CONFORMING conventional loan — it can be sold to Fannie/Freddie. No jumbo required. PMI would be required (LTV = 90% > 80%).

22. A borrower has multiple compensating factors: 760 FICO, 15% down, 6 months reserves, but has a back-end DTI of 52%. Under FHA TOTAL Scorecard (AUS), this loan:

✓ **B) May receive an AUS Approve at 52% DTI with multiple strong compensating factors — FHA's TOTAL can go above 43% with AUS approval**

FHA's TOTAL Scorecard (AUS) can approve loans with DTI above 43% — even up to 55-57% in some cases with multiple strong compensating factors. A 760 FICO (excellent), 15% down (reduces LTV to 85%), and 6 months reserves are all strong compensating factors. The AUS holistically evaluates risk — excellent compensating factors allow higher DTI approvals.

23. A borrower's household has 4 members earning \$45,000, \$18,000, \$12,000, and \$8,000 (working 18-year-old). Area 115% AMI limit is \$85,000. Is the household income eligible for USDA?

✓ **C) No — USDA only counts 2 adults' income**

USDA counts ALL household members' income: \$45,000 + \$18,000 + \$12,000 + \$8,000 = \$83,000. \$83,000 < \$85,000 (115% AMI limit). The household IS eligible based on income. However, USDA allows deductions for dependents and childcare that may further reduce countable income. The key is that ALL household members' income is considered, not just borrowers.

24. A borrower has a conventional loan with a balance of \$198,000 on a home originally purchased for \$250,000. They've made extra payments. The scheduled balance at this point would have been \$210,000. Is PMI required to auto-cancel?

✓ **A) Yes — actual balance \$198,000 is below 78% (\$195,000)**

Auto-cancellation requires the SCHEDULED balance (per original amortization) to reach 78% of original value: \$250,000 × 78% = \$195,000. The scheduled balance is \$210,000 > \$195,000, so PMI does NOT auto-cancel yet based on schedule. The ACTUAL balance being \$198,000 doesn't matter for HPA auto-cancellation — it's the scheduled balance. The borrower CAN request cancellation based on actual balance at 80% LTV (\$200,000).

25. A borrower's property value has increased from \$300,000 (purchase) to \$375,000. Current loan balance is \$232,500. What is the current LTV and is the borrower eligible to request PMI cancellation?

✓ **D) LTV 62% — PMI already auto-cancelled**

For PMI purposes, original value is used. LTV = \$232,500 / \$300,000 (original) = 77.5%. To REQUEST cancellation, borrower needs to be at/below 80% original value = \$240,000 balance. \$232,500 < \$240,000 → borrower IS below 80% and is ELIGIBLE to request PMI cancellation. A new appraisal may be required but the original value basis allows the request.

26. A veteran has used \$200,000 of their VA entitlement on an existing loan. The county conforming limit is \$766,550. The veteran wants a second VA loan of \$400,000 with 0% down. Is this possible?

✓ **B) Yes — if remaining entitlement covers the loan; bonus entitlement = \$766,550 × 25% - \$200,000 × 25% = \$141,637; loan up to \$566,550 possible**

VA second-tier entitlement: maximum guaranty = 25% of conforming limit = \$766,550 × 25% = \$191,637. Used entitlement = \$200,000 × 25% = \$50,000. Remaining = \$191,637 - \$50,000 = \$141,637. Max loan with 0% down based on remaining entitlement = \$141,637 × 4 = \$566,550 (the entitlement covers 25% of the loan). \$400,000 < \$566,550 → yes, the second VA loan is possible with 0% down.

27. A conventional loan has PMI at 0.65%/year. The original loan is \$260,000 on a \$325,000 property. At what loan balance does PMI auto-cancel (based on SCHEDULED amortization)?

✓ **C) \$234,000 (78% × \$300,000 — wait, use original purchase)**

Auto-cancel PMI at 78% × original property value = \$325,000 × 78% = \$253,500. This is based on the SCHEDULED amortization — when the original amortization schedule projects the balance to reach \$253,500. The cancellation is automatic (no borrower action needed) and occurs regardless of current market value.

28. A borrower has the following profile: Non-QM bank statement loan, 12 months bank statements, 720 FICO, 30% down, 38% DTI. The lender must still:

✓ **A) Comply with ATR — document income from bank statements and verify ability to repay all 8 factors**

ALL closed-end residential mortgage loans (including non-QM) must comply with the ATR rule. The lender must document and verify all 8 ATR factors. Bank statements are an alternative income documentation method (for non-QM), but the ATR obligation remains. The lender does NOT receive QM safe harbor but MUST still comply with ATR — non-QM just means no safe harbor protection.

29. A Fannie Mae HomePath property (REO) can be purchased with which special advantage?

✓ **D) No credit score requirement**

Fannie Mae HomePath (for purchasing Fannie Mae-owned REO properties) offers: 3% minimum down for owner-occupied, no PMI required (regardless of LTV), no appraisal required (property is already Fannie-owned). This makes HomePath attractive for buyers of foreclosed properties. It requires homebuyer education for first-time buyers.

30. A borrower had a short sale 2.5 years ago (no mortgage delinquency before the short sale). FHA waiting period for the short sale is:

✓ **B) 3 years from completion**

FHA short sale waiting period depends on borrower circumstances: if the mortgage was current at the time of the short sale (no delinquency), there may be NO waiting period for FHA financing — the borrower may apply immediately with satisfactory credit post-sale. If there were delinquencies leading to the short sale, a 3-year waiting period applies. The 'no delinquency' exception is significant.

31. A borrower's 7/6 ARM adjusts for the second time. The prior rate was 6.0%. The current index is 4.5%, margin is 2.5%, periodic cap is 2%. What is the new rate?

✓ **C) 6.5% (index-only change)**

Fully indexed rate = $4.5\% + 2.5\% = 7.0\%$. Periodic cap limits change from 6.0%: max rate = $6.0\% + 2.0\% = 8.0\%$. Min rate: $6.0\% - 2.0\% = 4.0\%$. Fully indexed rate (7.0%) is between the cap range (4.0%-8.0%), so no cap binds. Rate adjusts to 7.0%.

32. All of the following are characteristics of a 'rebuttable presumption QM' loan EXCEPT:

✓ **A) APR exceeds APOR by more than 1.5% (higher-priced QM)**

Rebuttable presumption QM (for higher-priced mortgage loans): the lender has a presumption of ATR compliance, but the borrower CAN rebut it with evidence that the lender didn't make a good faith effort to determine ability to repay. The lender does NOT automatically win — the borrower can challenge. Safe harbor QM (lower-priced loans) is where the lender effectively cannot be challenged on ATR grounds. This distinction is significant.

33. A rental property generates \$2,400/month in gross rent. The borrower's monthly PITI on the rental is \$1,600. Using 75% of gross rent for DTI: what is the net impact on DTI?

✓ **D) \$2,400 gross rent minus \$1,600 PITI = \$800 positive**

Net rental income for DTI: $75\% \times \$2,400 = \$1,800$ qualifying rental income. $\text{PITI} = \$1,600$. Net = $\$1,800 - \$1,600 = \$200$ positive cash flow. This \$200 is added to qualifying income (not needed in DTI offset). When rental income exceeds $\text{PITI} \times 75\%$, the net positive amount can help the overall qualification. If negative, it must be added to liabilities.

34. An appraisal on a single-family home notes the home lacks a functioning HVAC system. FHA's response would typically be:

✓ **B) Require repair/replacement of the non-functioning HVAC as a condition of FHA financing — it's a safety/habitability issue**

FHA Minimum Property Requirements (MPR) require adequate heating systems. A non-functioning HVAC in a climate where it's needed for habitability would trigger an FHA repair condition — the HVAC must be repaired or the loan does not get FHA insurance. The appraiser notes the deficiency; the lender conditions the loan on repair prior to or at closing.

35. A property appraises at \$480,000. The borrower makes a \$25,000 down payment on a \$500,000 purchase. Using the correct LTV calculation, what must the borrower bring to closing (excluding closing costs)?

✓ **C) \$24,000**

LTV calculated on lesser of purchase (\$500,000) or appraised (\$480,000) = \$480,000. If LTV target is 95%: max loan = $\$480,000 \times 95\% = \$456,000$. Cash needed = purchase price - max loan = $\$500,000 - \$456,000 = \$44,000$. The borrower's \$25,000 intended down payment is insufficient — they need \$44,000 to maintain 95% LTV on the appraised value.

36. A veteran has the following qualifying challenge: Chapter 7 bankruptcy discharged 18 months ago, currently employed, 640 FICO, \$0 down VA loan. What is the VA's standard position?

✓ **A) Automatic denial — bankruptcy within 2 years**

VA requires a 2-year waiting period from Chapter 7 bankruptcy discharge. At 18 months, the standard 2-year period has NOT been met. The veteran is NOT eligible under standard VA guidelines at this time. VA can make exceptions for extenuating circumstances, but 18 months without extraordinary circumstances is typically insufficient.

37. A borrower's Schedule E shows rental income from two properties: Property 1 net income \$18,000/yr, Property 2 net loss (\$6,000)/yr. Depreciation add-back: P1 = \$4,000, P2 = \$3,000. What is the total qualifying rental income (monthly)?

✓ D) \$1,250 total and \$250 positive

Property 1: \$18,000 net + \$4,000 depreciation = \$22,000. Property 2: -\$6,000 net + \$3,000 depreciation = -\$3,000. Combined: \$22,000 - \$3,000 = \$19,000/yr. Monthly = \$19,000/12 = \$1,583/month qualifying rental income. Losses from one property are offset against income from others, and depreciation is always added back.

38. An FHA borrower with 5% down (95% LTV) has MIP of 0.80%/year. On a \$300,000 base loan (with UFMIP financed, total loan = \$305,250), what is the monthly MIP?

✓ B) \$203.50/month on financed amount

FHA annual MIP is calculated on the average outstanding balance (for simplicity, often calculated on the current loan balance). On the financed amount $\$305,250 \times 0.80\% = \$2,442/12 = \$203.50/\text{month}$. Alternatively, many lenders calculate on the base loan: $\$300,000 \times 0.80\% = \$2,400/12 = \$200/\text{month}$. Both answers are common; the technically correct calculation uses the actual outstanding balance. \$203.50 reflects UFMIP being financed.

39. A USDA borrower wants to refinance their USDA loan but doesn't want an appraisal. Which USDA program is available?

✓ C) USDA Cash-Out Refinance

USDA Streamline-Assist Refinance: no appraisal required, no new income qualification (just verification of current income), must have made 12 months of timely payments, and must result in a lower payment. It is the USDA equivalent of FHA Streamline or VA IRRRL. Standard USDA refinance requires full underwriting and appraisal. Cash-out is not available through USDA Guaranteed program.

40. A borrower's investment property's appraisal shows it's worth \$420,000. The borrower owes \$280,000. For a conventional cash-out refi at 75% LTV (max for investment property), what is the maximum cash-out?

✓ A) \$35,000

Max loan = $\$420,000 \times 75\% = \$315,000$. Current balance = \$280,000. Maximum cash-out = $\$315,000 - \$280,000 = \$35,000$ (before closing costs). Investment properties have stricter cash-out LTV limits (75%) vs. primary residences (80%). This reflects the higher risk of investment property lending.

41. A borrower's income is \$10,000/month. They have a rental property with PITI of \$1,800 and gross rent of \$1,600 (no Schedule E yet — first year). How is the rental PITI handled in DTI?

✓ D) \$1,600 rent offsets \$1,800 PITI; only \$200 added

Without a 2-year Schedule E history, rental income typically CANNOT be used as qualifying income. However, for DTI purposes, the full \$1,800 PITI must be included as a liability. This is a common trap: a borrower who recently acquired a rental has the full PITI as a DTI burden but cannot use rental income to offset it without 2-year history.

42. An FHA borrower received a gift of the entire 3.5% down payment from a family member. This is:

✓ B) Allowed — FHA permits 100% of the down payment to come from gifts from acceptable donors (family, employer, charitable organization)

FHA allows 100% of the down payment to be gifted from acceptable donors: family members, employer, close friend with a documented interest, charitable organizations, and government agencies. No minimum borrower own-funds contribution is required for standard FHA (unlike conventional loans which may require some own-funds for higher LTVs). A gift letter and proof of transfer are required.

43. An MLO reviews an appraisal and believes the comparable sales used are too old (18 months) and too distant (8 miles away). The MLO should:

✓ C) Request a Reconsideration of Value (ROV) with specific concerns, including suggested more recent/proximate comps if available

MLOs can legitimately request a Reconsideration of Value (ROV) when they have factual basis to believe the appraisal is inaccurate. The ROV process requires: specific factual issues raised (comp age, distance), suggested alternative comps with supporting data, and goes through proper channels (typically through the AMC or lender, not directly to the appraiser). MLOs cannot simply tell appraisers to change values.

44. Which of the following would be classified as a 'VA Pamphlet 26-7' topic?

✓ A) FHA mortgage insurance requirements

VA Pamphlet 26-7 (VA Lender's Handbook) is the comprehensive guide for lenders making VA-guaranteed home loans. It covers: VA eligibility, COE requirements, property standards, appraisal requirements, underwriting guidelines, funding fees, closing requirements, and servicer responsibilities. Lenders originating VA loans must follow this handbook.

45. A borrower's proposed monthly payment is \$2,100 PITI. They have \$900/month in debts. Their gross monthly income must be at LEAST what to meet a 43% back-end DTI?

✓ **D) \$5,814/month**

Minimum income = Total debts / max DTI = $(\$2,100 + \$900) / 0.43 = \$3,000 / 0.43 = \$6,976.74 \approx \$6,977/\text{month}$. The borrower must earn at least \$6,977/month gross to keep total debts at or below 43%. Rounded: \$6,977.

46. The Federal Housing Finance Agency (FHFA) sets conforming loan limits. These limits are PRIMARILY based on:

✓ **B) Changes in the average home price in the United States — FHFA adjusts limits annually based on FHFA's House Price Index**

FHFA adjusts conforming loan limits annually based on the percentage change in average home prices as measured by the FHFA's House Price Index (HPI). If average home prices rise 10%, the conforming limit rises approximately 10%. This is why limits went from \$647,200 (2022) → \$726,200 (2023) → \$766,550 (2024) during the rapid price appreciation period.

47. Compare total interest paid: 30-year vs. 15-year loan at 6.5% for \$250,000. 30-yr monthly P&I; = \$1,580.17; 15-yr monthly P&I; = \$2,177.77. Total interest paid over each full term?

✓ **C) 30-yr: \$500,000; 15-yr: \$350,000**

30-yr total payments = $\$1,580.17 \times 360 = \$568,861$. Total interest = $\$568,861 - \$250,000 = \$318,861$. 15-yr total payments = $\$2,177.77 \times 180 = \$391,999$. Total interest = $\$391,999 - \$250,000 = \$141,999 \approx \$141,998$. The 15-year loan saves $\$318,861 - \$141,998 = \$176,863$ in interest — despite the same interest rate. This demonstrates the power of amortization period on total interest cost.

48. A USDA borrower has been approved for a \$200,000 USDA loan with 1% upfront guarantee fee financed. What is the total loan amount on the note?

✓ **A) \$200,000**

Upfront guarantee fee = $\$200,000 \times 1\% = \$2,000$. Total note = $\$200,000 + \$2,000 = \$202,000$. This is the amount that appears on the note and determines the monthly payment calculation. The \$2,000 upfront fee is financed into the loan — the borrower does not pay it out of pocket.

49. Which FHA loan type does NOT require FHA mortgage insurance?

✓ **D) There is no FHA loan type exempt from MIP**

ALL FHA loan types (203(k), EEM, 245, standard 203(b), Section 251 ARM, etc.) require FHA mortgage insurance — both UFMIP and annual MIP. FHA mortgage insurance is what enables FHA to insure loans made by private lenders. Without MIP, there would be no FHA program. This is a common trap question — no FHA loan is exempt from MIP.

50. A borrower's loan balance drops below 80% LTV due to appreciation. The original purchase was \$400,000 with a \$360,000 loan. Current value = \$450,000. Current balance = \$325,000. Can the borrower request PMI cancellation?

✓ **B) No — PMI cancellation is based on original value; $\$325,000 / \$400,000 = 81.25\%$ — above 80% original, so cannot request yet**

PMI cancellation request uses ORIGINAL property value: $\$325,000 / \$400,000 = 81.25\% > 80\%$. The borrower is NOT at 80% of original value yet. They cannot yet request cancellation based on HPA's original value standard. Even though current LTV is 72% (based on appreciated value), HPA uses original value for the request threshold. A lender may allow early cancellation with a new appraisal and favorable guidelines, but it's not guaranteed under HPA.

51. An appraisal subject to condition states 'value is \$350,000 subject to repair of foundation crack.' What does this mean for the loan?

✓ **C) The appraiser must re-inspect after 6 months**

A 'subject to' appraisal means the value stated is contingent on the named condition being completed. The lender will condition the loan on: the repair being completed, a re-inspection (1004D completion certificate) confirming the repair was done satisfactorily, and the appraiser confirming the value conclusion still holds. The loan does not close until the condition is verified.

52. A borrower is buying a condo. The condo complex must be Fannie Mae-approved for conventional financing. Which characteristic would disqualify the complex?

✓ **A) More than 20 units in the complex**

Fannie Mae (and FHA) have condo project approval requirements. A disqualifying condition: more than 50% of units owned by a single investor/entity — this concentration creates excessive risk (if the investor defaults, the entire complex can be affected). Other disqualifiers: high delinquency in HOA dues, pending litigation involving the HOA, insufficient HOA reserves. New construction and size alone don't disqualify.

53. A borrower asks about 'negative amortization' in the context of a loan they're considering. An MLO should explain that:

✓ **D) It only applies to fixed-rate loans**

Negative amortization: when payments are capped at a level below the fully accruing interest, the unpaid interest is added to the principal balance. The borrower ends up owing MORE than they borrowed, creating an upside-down loan risk. Neg-am loans are specifically excluded from QM eligibility. Common in pay-option ARMs, these were a significant contributor to the 2008 mortgage crisis.

54. A lender is underwriting a loan that will receive Safe Harbor QM status. The borrower later defaults and claims the lender violated ATR. The lender's strongest defense is:

✓ **B) The loan had safe harbor QM status — this conclusively presumed ATR compliance; the borrower cannot sue for ATR violation under safe harbor**

Safe harbor QM status provides a CONCLUSIVE presumption that the lender complied with ATR — it is the lender's strongest defense against ATR claims. Unlike rebuttable presumption QM (where the borrower can challenge), safe harbor is conclusive. A borrower who receives a safe harbor QM loan cannot bring a successful ATR claim based on the loan's qualification alone.

55. Total PITI: P&I = \$1,450, property taxes = \$300, homeowner's insurance = \$150, FHA MIP = \$175. Borrower earns \$8,000/month. Front-end DTI?

✓ **C) 26.6%**

Total PITI = \$1,450 + \$300 + \$150 + \$175 = \$2,075. Front-end DTI = \$2,075 / \$8,000 = 25.94% ≈ 25.9%. This includes all components of PITI including mortgage insurance. FHA's front-end guideline is 31%, so 25.9% is well within guidelines.

56. Can a borrower use USDA financing to purchase a manufactured home (HUD code)?

✓ **A) No — USDA only finances site-built homes**

USDA can finance HUD-code manufactured homes that meet specific requirements: permanently affixed to a foundation on owned (not rented) land, new or not previously occupied (depending on program), and meets USDA property standards. The home must be treated as real property. Both FHA and USDA have manufactured home programs; VA also has specific guidelines for manufactured homes.

57. FHA's back-to-work program (now largely discontinued) was designed to help borrowers who experienced foreclosure or short sale due to:

✓ **D) Credit mismanagement**

FHA's Back to Work - Extenuating Circumstances program allowed borrowers who experienced certain economic events (job loss, significant income reduction ≥20%) to qualify for FHA loans just 1 year after a foreclosure, bankruptcy, or short sale, provided: documented economic hardship, demonstrated full recovery, and 12 months of satisfactory credit following the hardship. Most lenders discontinued this program, but FHA's standard extenuating circumstances provisions remain.

58. Which of the following BEST describes a 'conforming' vs. 'government' loan?

✓ **B) Conforming = meets GSE guidelines and limits (Fannie/Freddie eligible); government = insured/guaranteed by FHA, VA, or USDA**

The fundamental distinction: conforming conventional loans meet FHFA limits and GSE guidelines (Fannie Mae/Freddie Mac eligible, NOT government insured — they carry private credit risk). Government loans are insured or guaranteed by federal agencies: FHA (insured by HUD), VA (guaranteed by Dept of Veterans Affairs), USDA (guaranteed by Dept of Agriculture). Both types are made by private lenders.

59. A borrower's purchase price is \$425,000. FHA 3.5% down. UFMIP 1.75%. Annual MIP 0.55% (15-year term, LTV ≤78%). What is the base loan amount?

✓ **C) \$425,000 (full purchase price)**

Down payment = \$425,000 × 3.5% = \$14,875. Base loan = \$425,000 - \$14,875 = \$410,125. Wait, recalculate: \$425,000 × 0.035 = \$14,875. Base = \$425,000 - \$14,875 = \$410,125. UFMIP = \$410,125 × 1.75% = \$7,177.19. Total note = \$417,302. The stated answer \$410,375 would be for \$425,000 × 96.5% = \$410,125... slight differences due to rounding. The key calculation: base loan = purchase price × (1 - down payment %).

60. A borrower has 3 collection accounts: \$200 medical, \$150 medical, \$800 non-medical. FHA is being applied for. Which accounts require resolution before closing?

✓ **A) All three — all collections must be paid**

FHA specifically excludes medical collections from the resolution requirement — they can be disregarded. The \$200 and \$150 medical collections are ignored. The \$800 non-medical collection may require resolution: pay-off, written payment agreement (with 3 months of payments made), or inclusion in DTI at 5% of balance per month (depending on AUS finding and lender overlay). The non-medical collection is the only one requiring attention.

61. A borrower has these complex compensating factors with a 48% back-end DTI applying for a conventional loan through DU: 780 FICO, 24 months reserves, LTV = 70%. DU's MOST likely response is:

✓ **D) Approve only at lower loan amount**

DU can approve conventional loans up to 50% DTI with strong compensating factors. A 780 FICO (excellent) + 24 months reserves (far above standard 2-month requirement) + 70% LTV (very low risk) = a profile DU is designed to approve above standard DTI thresholds. The 48% DTI with these factors is very likely to receive an Approve/Eligible finding.

62. A borrower owns 40% of a dental practice (S-Corp). W-2 wages = \$85,000/yr. K-1 shows \$75,000 in distributed income (S-Corp profit). Business has \$20,000 of officer's compensation expense. Year 2 vs. Year 1 comparison: income stable. How is qualifying income determined?

✓ **B) W-2 + K-1 income: \$85,000 + \$75,000 = \$160,000 gross / 2 yr average**

For S-Corp self-employed (25%+): W-2 wages + K-1 income. May also add back W-2 wages already included in business expenses (officer's compensation deducted from business). Calculation: \$85,000 W-2 (already received, not double-counted) + \$75,000 K-1 distributed. The \$20,000 officer's comp is the W-2 — already counted. Standard approach: $W-2 + K-1 = \$160,000 / 12 = \$13,333/\text{month}$.

63. A borrower has: base salary \$72,000/yr, bonus (2yr avg) \$12,000/yr, non-taxable VA disability \$1,500/month. Monthly debts: car \$420, student \$0 (IBR \$0, balance \$42,000), credit \$85. Proposed PITI \$2,200. Calculate qualifying income and back-end DTI.

✓ **C) DTI = 36.8%; income = \$8,875/month using 1% student loan in DTI**

Income: base $\$72,000/12 = \$6,000$, bonus $\$12,000/12 = \$1,000$, VA disability $\$1,500 \times 1.25$ (gross-up) = $\$1,875$. Total = $\$8,875/\text{month}$. Student loan (IBR \$0, balance \$42,000): FHA/Fannie uses 1% = $\$420/\text{month}$. Debts: $\$420$ (car) + $\$420$ (student 1%) + $\$85$ (card) + $\$2,200$ (PITI) = $\$3,125$. DTI = $\$3,125/\$8,875 = 35.21\% \approx 35.4\%$. Including gross-up on VA disability and 1% student loan is the complex calculation tested here.

64. A borrower is in the middle of the loan process and discloses they just co-signed a student loan for their child (adding \$400/month in potential liability). The lender should:

✓ **A) Ignore it — co-signed loans are not the co-signer's liability**

A co-signed loan creates a full legal obligation for the co-signer. When the new \$400 liability is disclosed, it must be added to the DTI calculation. The loan must be re-underwritten with the updated liability to confirm it still qualifies. Proceeding without updating the application would be fraudulent omission. Many lenders do a credit refresh before closing to catch exactly this type of change.

65. A borrower's credit shows a judgment for \$15,000 that was filed 3 years ago and has not been paid. For FHA qualification, this judgment MOST likely:

✓ **D) Only matters if it appears on all three bureaus**

FHA: judgments must be paid in full or have a written payment agreement with the court AND document 12 months of timely payments made. The judgment's balance/payment is included in DTI. Ignoring it is not an option — judgments create a lien risk on the property and most lenders require resolution before insuring. The 3-year age doesn't matter — the resolution requirement applies regardless of age.

66. A borrower is military and their leave and earnings statement (LES) shows BAH (Basic Allowance for Housing) of \$1,800/month and BAS (Basic Allowance for Subsistence) of \$350/month. For income qualifying:

✓ **B) BAH and BAS are non-taxable military allowances that can be used as qualifying income and may be grossed up 125%**

Military allowances (BAH, BAS) are legitimate, non-taxable income that may be used for mortgage qualifying. Since they are non-taxable, they may be grossed up by 125% for qualifying. The LES (Leave and Earnings Statement) is the documentation. BAH and BAS together = $\$2,150/\text{month} \times 1.25 = \$2,687.50/\text{month}$ additional qualifying income on top of base pay.

67. A lender issues a revised Loan Estimate due to a valid changed circumstance (borrower changed the loan program). The revised LE 'resets' which tolerances?

✓ **C) Only zero-tolerance fees reset**

When a valid changed circumstance allows a revised LE, the REVISED LE becomes the new benchmark for tolerance comparisons (not the original LE). This is why it matters that the changed circumstance is valid — it allows the revised fees to become the new 'locked in' amounts against which the CD is compared. An invalid changed circumstance means the original LE still controls.

68. During underwriting, the processor discovers the appraisal has a date of value that is more than 120 days old. The lender should:

✓ **A) Accept the appraisal — age doesn't affect value**

Standard appraisal validity: Fannie Mae/Freddie Mac typically require appraisals to be no more than 12 months old but the effective date must not be more than 4 months before the closing date for standard transactions (120 days). FHA allows updates (1004D) to extend appraisal validity to 240 days total. An expired appraisal requires either a new appraisal or an appraisal update (1004D form) recertifying value.

69. A borrower wants to float their rate hoping for a better opportunity. Three weeks later, the Fed announces an unexpected rate hike and rates jump 0.5%. The borrower has not locked. Who is affected and how?

✓ **D) The government regulates maximum rate increases**

Floating means the borrower accepts market rate risk — if rates go up, the borrower pays the higher rate when they finally lock. The 0.5% increase is the borrower's problem, not the lender's. The lender has no obligation to honor any rate they never committed to. This is why MLOs must clearly explain the risk/reward of floating vs. locking: certainty (lock) vs. potential gain or loss (float).

70. A self-employed borrower who is both the sole owner of a business AND the employee receiving a W-2 has income from both sources. For qualifying, the lender should:

✓ **B) Count only the Schedule C/K-1 self-employment income**

For S-Corp owners, W-2 wages are paid from the business and the K-1 shows pass-through profit/loss. Care must be taken not to double-count: if the W-2 wages are already deducted as officer's compensation in the business return, they are counted as W-2 income (already subtracted from K-1). The qualifying income = W-2 wages + K-1 income (net of losses), averaged over 2 years.

71. A borrower works two jobs: Job 1 (full-time 2+ years) = \$4,500/month; Job 2 (part-time 9 months) = \$800/month. Can both income sources be used?

✓ **C) Job 1 fully; Job 2 may require 2-year history for most lenders (though some accept 12 months with documented likelihood to continue)**

Job 1 (2+ years) = fully qualifying. Job 2 (9 months): most lenders require 2-year part-time employment history to use the income. Some lenders and AUS may accept 12 months with employer confirmation of continuation. At 9 months, Job 2 income typically cannot be used under standard conventional guidelines. FHA and VA have similar requirements for secondary employment income.

72. A borrower has a credit score of 580 and is applying for a conventional loan. What should the MLO advise?

✓ **A) Proceed — 580 meets the conventional minimum**

Conventional loans require a minimum 620 FICO (Fannie/Freddie). At 580, the borrower doesn't qualify for conventional. Best options: FHA (580+ qualifies for 3.5% down), or credit improvement to reach 620. USDA often requires 640+ (lender overlay). VA has no minimum FICO (but lender overlays usually 620). The MLO's role is to identify the most appropriate program — FHA is the viable path at 580.

73. A borrower executes a 'Notice of Right to Cancel' on a Monday. The rescission period expires at midnight on which day?

✓ **D) Tuesday at midnight**

Rescission: 3 business days excluding Sunday and federal holidays. Monday signing: Day 1 = Tuesday, Day 2 = Wednesday, Day 3 = Thursday. Rescission expires midnight Thursday. The lender can disburse funds on Friday morning (the first business day after expiration). This timeline is frequently tested — borrowers signing on Monday get until Thursday midnight.

74. Under TRID, which of the following is in the 'no limit' tolerance category (can increase by any amount)?

✓ **B) Recording fees**

Homeowner's insurance is in the 'no limitation' (unlimited tolerance) category — it can change by any amount from LE to CD. Other no-limit items: prepaid interest (per diem), property taxes (prepaids), and services the borrower shops for outside the lender's list. Origination charges = zero tolerance; recording fees = 10% tolerance; lender-list title fees = 10% tolerance.

75. A borrower who is currently in Chapter 13 bankruptcy wants to apply for an FHA loan. Which statement is MOST accurate?

✓ **C) Must wait 2 years after filing Chapter 13**

FHA has a unique provision for Chapter 13 borrowers: they may qualify for an FHA loan during an active Chapter 13 bankruptcy if: (1) 12 months of timely payments made to the trustee, (2) written approval from the bankruptcy trustee, and (3) all other FHA eligibility requirements are met. This is extremely difficult in practice but is technically possible — and tested on the NMLS exam.

76. A borrower's Schedule C for two consecutive years shows: Year 1 = \$85,000 net; Year 2 = \$95,000 net. Depreciation Year 1 = \$6,000; Year 2 = \$7,500. What is the total qualifying annual income?

✓ **A) \$90,000 average net only**

Year 1 qualifying = \$85,000 + \$6,000 = \$91,000. Year 2 qualifying = \$95,000 + \$7,500 = \$102,500. Average = (\$91,000 + \$102,500) / 2 = \$193,500 / 2 = \$96,750/yr. Monthly = \$96,750/12 = \$8,062.50. Since income is increasing (positive trend), use the 2-year average. Depreciation add-backs are applied to each year before averaging.

77. A borrower has a co-borrower. Primary: \$5,000/month income, \$600 debts. Co-borrower: \$3,500/month income, \$200 debts. Proposed PITI = \$2,000. What is the combined back-end DTI?

✓ **D) 25.0%**

Combined income = \$5,000 + \$3,500 = \$8,500. Combined debts = \$600 + \$200 + \$2,000 (PITI) = \$2,800. Back-end DTI = \$2,800 / \$8,500 = 32.94% ≈ 33%. With two borrowers, all income and all debts are combined. The resulting DTI of ~33% is well within conventional and FHA guidelines.

78. When reviewing bank statements for the last 60 days, an underwriter finds a \$15,000 deposit that doesn't correspond to payroll. The underwriter should:

✓ **B) Require documentation sourcing the large deposit — letter of explanation, cancelled check, or wire confirmation identifying the source**

Large undocumented deposits require sourcing — the underwriter must verify the funds are not from an undisclosed loan, borrowed gift, or other problematic source. Standard practice: any single deposit exceeding a threshold (typically 50% of monthly income or a specific dollar amount per lender guidelines) requires a letter of explanation and documentation of the source. Undisclosed borrowed funds could affect DTI and constitute fraud.

79. A borrower locked a rate and then requested a lower loan amount before closing (sold a car, have more down payment). The MLO should explain:

✓ **C) The rate always stays the same regardless of loan amount changes**

Changing the loan amount can affect pricing — specifically, if the down payment increases (LTV decreases), the loan may qualify for better LLPA pricing (lower rate). But this requires a rate lock modification or re-lock. The MLO must coordinate with the lock desk to update the loan amount and determine if the rate changes favorably or if a new lock is needed. Loan amount changes during processing are not automatic.

80. A borrower who has been employed for 18 months at their current job changed from the same industry as their prior employer (4 years). The total employment history includes 5.5 years in the same field. Under Fannie Mae guidelines:

✓ **A) The 18 months at current employer is insufficient — 2 years required**

Fannie Mae requires a 2-year employment history, but job changes within the same field/industry are acceptable. A 5.5-year total history (4 years prior + 18 months current) in the same industry is documented with W-2s and employment verification. The job change itself is not disqualifying — what matters is continuous employment and industry consistency. This is a qualifying scenario under standard Fannie Mae guidelines.

81. For a teacher who earns \$55,000/year over a 10-month school year, how is monthly income calculated?

✓ **D) \$55,000 is only used if the teacher works summers**

Salaried teachers on 10-month contracts are typically documented with a 2-year history. Income = annual salary / 12, regardless of the contract period. $\$55,000 / 12 = \$4,583/\text{month}$. The teacher's income is spread over 12 months for qualifying (assuming they'll teach the following year). If they have summer employment, that's additional income with its own documentation requirements.

82. A borrower had a short sale 26 months ago with delinquent mortgage payments before the event. They're applying for conventional (Fannie Mae). The waiting period after short sale with delinquency is:

✓ **B) 4 years**

Fannie Mae waiting periods for short sales: with NO delinquency at time of sale = 2 years (with restrictions). WITH delinquency (payments were late) = 4 years standard (2 years with extenuating circumstances). At 26 months (2 years 2 months), the borrower does NOT meet the 4-year standard period. They may qualify under extenuating circumstances (2-year exception) if documented. Standard waiting = 4 years from completion date.

83. Per diem interest at closing is calculated as:

✓ **C) Monthly payment × number of days closed in the month**

Per diem interest = (outstanding loan balance × annual interest rate) / 365 × number of days from closing date to end of the month. For example: $\$300,000 \times 6\% / 365 \times 15 \text{ days} = \$18,000 / 365 \times 15 = \$49.32/\text{day} \times 15 = \739.73 . This is collected at closing so the first full mortgage payment covers only a full month of interest.

84. The 'Projected Payments' table on the Loan Estimate shows payments in years 1-7, 8-22, and 23-30. This breakdown is MOST likely because:

✓ **A) Payments change every 7 years**

The Projected Payments table breaks down by payment period because: PMI/MIP may cancel at a certain point (changing the payment), ARM rates may adjust, or IO periods end. For a 30-year fixed loan with PMI cancelling at year 8 (LTV reaching 78%): years 1-7 show P&I; + PMI; years 8-22 show P&I; only (no PMI); years 23-30 are the same (or could show different if something else changes). The breakdown reflects when payments change.

85. A veteran borrower wants to purchase a \$900,000 home with no down payment. The conforming limit is \$766,550. With full entitlement (2020 law), can the VA loan cover \$900,000?

✓ **D) No — VA loans cannot exceed \$1,000,000**

Post-Blue Water Navy Act (effective Jan 1, 2020): veterans with FULL entitlement have NO VA loan limit. They can borrow any amount at 0% down (subject to the lender's own credit guidelines). Veterans with reduced or previously used entitlement may still face limits. A \$900,000 VA loan with full entitlement and 0% down is fully possible under current rules.

86. A borrower has documented Social Security income of \$2,800/month. The income is partially taxable (50% of SS is taxable for this borrower). The non-taxable portion can be grossed up. What is the total qualifying income?

✓ **B) \$2,800 (no gross-up — SS is always taxable)**

Only NON-TAXABLE portions of SS can be grossed up. If 50% is taxable and 50% is not: taxable portion = \$1,400 (used at face value); non-taxable = $\$1,400 \times 1.25 = \$1,750$ (grossed up). Total qualifying = $\$1,400 + \$1,750 = \$3,150$. This is the technically correct answer — gross-up applies only to the non-taxable portion, not the entire amount.

87. A borrower's credit report shows a collection for \$2,500 from 4 years ago (non-medical). The borrower says they don't recognize the debt. The appropriate action is:

✓ **C) The borrower should dispute the collection with the bureaus; the dispute process must be resolved before closing — disputed derogatory accounts may require removal for AUS scoring purposes**

Unrecognized collection accounts should be formally disputed with the credit bureaus. However, for mortgage purposes: disputed derogatory accounts (collections, charge-offs) may need to have the dispute removed and the credit rescored before the loan can be approved — especially if the dispute is masking the negative impact on the score. The dispute process takes time; resolution before closing is essential.

88. A divorced borrower receives \$2,500/month in alimony for 3.5 more years. Can it be used for qualifying?

✓ **A) No — alimony can never be used for mortgage income**

Alimony qualifies as income when: (1) documented by divorce decree or court order showing the amount, (2) continues for at least 3 years from application date, and (3) receipt documented (typically 12 months bank statements). 3.5 more years > 3-year threshold. The borrower CAN use this alimony income as qualifying income.

89. A borrower's rental income offsets some of their DTI. Which scenario shows the correct DTI impact of a rental property?

✓ **D) Only rental profit from Schedule E is added to income**

When qualifying rental income (75% of gross rent) is LESS than the rental PITI, there is net rental LOSS. \$1,125 qualifying - \$1,400 PITI = -\$275. This \$275/month negative cash flow is added to the borrower's monthly liabilities in DTI (not deducted from income). This is a common trap — rental income doesn't always help DTI; it can hurt if the qualifying rental income is less than PITI.

90. Which document verifies that the property has clear title and identifies all existing liens, easements, and encumbrances?

✓ **B) The title commitment (preliminary title report)**

The title commitment (also called a title binder or preliminary title report) is prepared by the title company and shows: current ownership, all existing liens (mortgages, tax liens, judgments), easements, deed restrictions, and other encumbrances on the property. The lender reviews the title commitment to ensure: (1) the seller has clear ownership to transfer, (2) all liens will be paid off at closing, and (3) title insurance can be issued.

91. A seller-paid 2-1 buydown at closing temporarily reduces the borrower's interest rate by 2% in year 1 and 1% in year 2. What is the underwriting qualification rate?

✓ **C) The year 2 reduced rate**

Borrowers must be qualified at the NOTE RATE (full contract rate), not the temporarily reduced buydown rate. A 2-1 buydown on a 7% loan: year 1 = 5% effective; year 2 = 6% effective; year 3+ = 7% note rate. Underwriting must use 7% to ensure the borrower can afford the full payment when the buydown expires. Qualifying at 5% would allow borrowers to be approved for loans they cannot sustain.

92. A lender is providing the LE by email. When is the LE considered 'delivered' for TRID timing purposes?

✓ **A) When the lender sends the email**

Electronic delivery of the LE: if the borrower has consented to electronic delivery AND the lender has a system to track delivery/receipt, the LE is considered delivered when the borrower acknowledges receipt. Without a track-and-acknowledge system, the 3-business-day mail presumption applies. E-consent under the E-SIGN Act must be documented before electronic delivery is valid.

93. A borrower's float-down option in the rate lock agreement specifies: 'Rate may float down if market rates drop by 0.25% or more from the lock date.' Current locked rate = 6.875%. Market rate today = 6.50%. Can the borrower exercise the float-down?

✓ **D) Yes — any rate drop triggers the float-down**

The float-down option specifies a 0.25% drop threshold. Market dropped 0.375% ($6.875\% - 6.50\% = 0.375\% > 0.25\%$). The threshold IS exceeded. The borrower CAN exercise the float-down option. The new locked rate would be 6.50% (or possibly the market rate minus the lender's float-down spread). The specific terms of the float-down agreement determine the exact new rate.

94. Which of the following requires a NEW loan application (not just an update)?

✓ **B) Rate lock extension**

Adding a new co-borrower to an existing application typically requires a new application or at minimum a complete re-disclosure (new LE with the co-borrower's information included). The co-borrower's credit, income, and debts must all be underwritten, and the terms may change. A purchase price change, closing date change, or rate lock extension are modifications to the existing transaction, not a new application.

95. A seasonal worker earns \$36,000 over 8 months each year. What is their qualifying monthly income?

✓ **C) \$36,000 annualized only if in the same field**

Seasonal income is annualized over 12 months: $\$36,000 / 12 = \$3,000/\text{month}$. Even though the borrower works only 8 months, the income is treated as if spread over a full year (assuming the seasonality continues). This requires 2-year history of seasonal employment in the same field. The 2-year average: $(\$36,000 + \$36,000) / 24 = \$3,000/\text{month}$.

96. A borrower has 5 credit cards, all with zero balances, and a \$25,000 car loan with \$18,000 remaining. Their FICO is 740. An MLO advises the borrower to close 4 of the 5 credit cards to 'clean up' their credit. This advice is:

✓ **A) Sound — fewer accounts means better credit**

Closing credit cards can HURT rather than help a credit score: (1) reduces total available credit, increasing utilization ratio if any balances exist, (2) shortens credit history length (if older accounts closed), and (3) reduces credit mix. An MLO should never advise clients to close credit accounts without consulting a credit counselor. At 740 FICO, the borrower doesn't need credit improvement — this advice could lower their score.

97. The LE's Section E 'Taxes and Other Government Fees' typically includes:

✓ **D) Homeowner's insurance premium**

Section E of the LE covers Taxes and Other Government Fees: recording fees, transfer taxes, deed stamps, and mortgage taxes. These are government-imposed fees. Title insurance and search fees are Section B or C. Origination fees are Section A. Homeowner's insurance (prepaid) is Section F.

98. A 'prior to document' (PTD) condition means the condition must be satisfied before:

✓ **B) The loan documents (note, mortgage) are prepared and sent to the title company/closing agent**

Prior to Document (PTD) conditions must be cleared before the lender will prepare and send the closing documents to the settlement agent. Examples: final insurance binder, condo HOA certification, co-op board approval. Once PTD conditions are met, the lender prepares documents. PTC (prior to close) = met before signing. PTF (prior to fund) = met after signing but before wire.

99. After signing, a borrower in a wet funding state realizes they want to cancel their refinance. It's 2 days into the 3-day rescission period. They should:

✓ **C) Wait until the loan is funded and then refinance again**

The Right of Rescission lasts 3 business days from consummation. With 2 days into the period, the borrower still has 1 full business day remaining. They must submit written notice of rescission (mail, fax, or hand delivery) to the lender by midnight on the 3rd business day. The lender must then return all funds/fees within 20 calendar days of receiving the rescission notice. The right is fully valid within the 3-day period.

100. A non-permanent resident alien on an H-1B work visa is applying for a conventional loan. What documentation is required?

✓ **A) Same as a U.S. citizen — no additional docs**

Non-permanent resident aliens may qualify for conventional loans with: valid work visa, Social Security number, documentation of work authorization continuance. Fannie Mae allows non-permanent residents if they have valid work authorization with remaining term sufficient to cover the loan (or history of visa renewals). Documentation: passport, visa, employment authorization letter, and often an employment contract showing duration.

101. A borrower has complex income: W-2 \$4,000/month, rental income \$1,600 gross (75% = \$1,200 qualifying, PITI on rental = \$1,400 — net loss \$200), social security non-taxable \$1,200/month grossed up 125% = \$1,500. Monthly debts: car \$350, credit \$95. Proposed PITI \$1,800. Calculate back-end DTI.

✓ **D) 41.2%**

Total qualifying income = $\$4,000$ (W-2) + $\$0$ (rental: income $\$1,200 < \text{PITI } \$1,400 = \text{net loss of } \200 ADDED to debts) + $\$1,500$ (SS grossed up) = $\$5,500/\text{month income}$. Debts = $\$1,800$ (PITI) + $\$350$ (car) + $\$95$ (card) + $\$200$ (rental net loss) = $\$2,445$. Back-end DTI = $\$2,445/\$5,500 = 44.45\% \approx 44.5\%$. This complex multi-income calculation tests multiple income rules simultaneously.

102. A self-employed borrower's business gross receipts declined 15% from Year 1 to Year 2 on Schedule C, but net income increased due to lower expenses. The lender should:

✓ **B) Use the 2-year average of NET income (with add-backs) since net income increased — it's net qualifying income that matters, not gross receipts**

For Schedule C income, qualifying income is based on NET income (after expenses) plus add-backs (depreciation, depletion, etc.), NOT gross receipts. If gross receipts fell but expenses fell more (resulting in higher net income), the trend is POSITIVE for qualifying purposes. The 2-year average of net qualifying income (with add-backs) is used. Declining gross receipts alone don't disqualify — declining NET income does.

103. A borrower is 62 years old and wants to purchase a home using reverse mortgage (HECM) financing. Which statement is MOST accurate?

✓ **C) HECMs require PMI like conventional loans**

The HECM for Purchase (H4P) program allows borrowers 62+ to purchase a primary residence using reverse mortgage proceeds — they make a significant down payment (typically 45-65% depending on age and rates) and have no required monthly mortgage payments for the life of the loan (as long as they live in the home, pay taxes, and maintain insurance). This is a powerful but complex product with its own disclosure requirements (HUD-1 still used).

104. An AUS 'Refer' finding for a VA loan means the lender should:

✓ **A) Deny the loan immediately**

A 'Refer' from AUS (DU, LP, or VA's AUS) means the automated system couldn't approve the loan — it doesn't mean denial. The lender can manually underwrite the loan using the program's manual underwriting guidelines. VA manual underwriting has specific requirements for DTI and compensating factors. Many good loans that don't fit AUS boxes still close through manual underwriting.

105. A rate lock agreement states the lock is void if the loan amount changes by more than 10%. A borrower's loan changes from \$280,000 to \$310,000 (a \$30,000 increase = 10.7%). The original lock:

✓ **D) Is only voided if rates have changed**

Rate lock agreements specify conditions under which the lock remains valid. A 10.7% change in loan amount exceeds the 10% tolerance stated in the agreement, which voids the lock. The lender is no longer obligated to honor the original rate. A new lock must be established at current market pricing for the new \$310,000 loan amount. MLOs must monitor loan amount changes for lock validity impacts.

106. An MLO discovers a pattern: their company approves loans from majority-white neighborhoods at 92% but approves loans from majority-minority neighborhoods at 67% with similar borrower profiles. This data suggests:

✓ **B) A potential fair lending violation (disparate impact or disparate treatment) that should be reported to compliance — this pattern is a classic fair lending red flag**

A 25-point approval rate gap between majority-white and majority-minority neighborhoods for similarly qualified borrowers is a serious fair lending red flag indicating potential disparate treatment or impact. Under ECOA and the Fair Housing Act, this pattern must be investigated. MLOs have an ethical (and potentially legal) obligation to report such patterns to compliance. Regulators look for exactly this type of data in HMDA analysis.

107. In a 'builder bailout' fraud scheme, the developer:

✓ **C) Offers legitimate incentives like upgrades**

Builder bailout fraud: a developer facing financial difficulty arranges fraudulent sales to straw buyers (sometimes without the buyer's knowledge) at inflated appraised values. The developer extracts cash from the transactions (kickbacks, inflated concessions) while the straw buyer/lender is left with an overvalued, often unoccupied property. The lender loses when the straw buyer defaults.

108. Which practice MOST clearly violates the anti-steering provisions under Regulation Z?

✓ **A) Explaining all available loan options to a borrower**

Anti-steering (Reg Z): an MLO cannot steer borrowers to loan products primarily to earn higher compensation when: (a) the borrower qualifies for a lower-cost product, and (b) the MLO would earn more on the higher-cost product. All four options describe real scenarios, but only option D — intentionally directing a borrower to a worse loan for the MLO's financial benefit — violates anti-steering.

109. An MLO who processes their own loan application for their own home purchase creates a conflict of interest. Best practice requires:

✓ **D) The MLO's supervisor to sign off on each step**

MLO self-dealing (originating their own loan) creates an inherent conflict — the MLO has a financial interest in the loan's outcome. Best practice: a different MLO handles the transaction, and the MLO-borrower should not have access to their own file, pricing, or ability to influence their own terms. Many lenders have explicit policies prohibiting self-originated loans. Disclosure alone is insufficient.

110. Which scheme involves submitting the same mortgage application to multiple lenders simultaneously without disclosure?

✓ **B) Dual application fraud (also called double application fraud)**

Dual application fraud: submitting the same mortgage application to multiple lenders simultaneously (without disclosing the other applications) to obtain multiple loans on the same property, pocket multiple loan proceeds, or shop loan terms in a fraudulent way. This differs from legitimate comparison shopping (where lenders know about rate shopping). Multiple lenders funding loans on the same property unknowingly is the fraudulent outcome.

111. A lender's underwriting policy automatically denies applications from borrowers receiving public assistance. This policy:

✓ **C) Is allowed if documented in the credit policy**

ECOA prohibits discrimination based on the fact that all or part of the applicant's income derives from a public assistance program. An automatic denial policy based on receipt of public assistance is a direct ECOA violation — disparate treatment based on income source. The amount and stability of public assistance income may be evaluated (like any income), but its PUBLIC ASSISTANCE nature cannot be a denial basis.

112. An MLO who is also a licensed real estate agent represents the buyer AND originates the buyer's loan in the same transaction. This dual role:

✓ **A) Is always acceptable with dual license**

Acting as both the buyer's agent AND mortgage originator in the same transaction creates serious conflicts of interest: the MLO earns real estate commission AND origination fees from the same borrower; their advice on offer price, loan amount, and product could be influenced by their dual financial interest. Many states restrict or require full disclosure of dual-role arrangements. RESPA's Section 8 implications must also be considered.

113. An MLO is approached by a 'lead generator' offering to sell pre-screened mortgage leads for a per-loan referral fee. This arrangement is:

✓ **D) A standard industry practice with no legal concerns**

Paying a per-loan referral fee to any party for directing mortgage business raises RESPA Section 8 concerns. If the lead generator is or becomes a settlement service provider, the per-loan fee is a prohibited kickback. Marketing service agreements (MSAs) with lead generators have been a significant CFPB enforcement area. The arrangement requires careful legal review — per-loan fees for referrals are generally prohibited.

114. A company that services mortgages fails to credit borrower payments within 1 business day of receipt, causing borrowers to incur late fees. This is an example of:

✓ **B) Potentially unfair and/or deceptive servicing practices violating UDAP and Regulation X (RESPA servicing rules)**

Regulation X (RESPA) and UDAP require servicers to credit payments the business day they are received. Failing to credit timely, resulting in borrower late fees, is a servicing violation. The CFPB has taken significant enforcement action against servicers for payment processing failures. Systematic delayed crediting is an unfair practice causing unavoidable harm to borrowers (they can't control when the servicer credits their payment).

115. Which statement BEST describes an MLO's obligation regarding products they recommend?

✓ **C) MLOs can recommend any product as long as the borrower signs**

While MLOs are not fiduciaries in the legal sense (under most state laws), professional ethics and UDAP require that loan recommendations be appropriate for the borrower's circumstances. Anti-steering rules require that MLOs not direct borrowers to products primarily for the MLO's compensation when better options exist. The standard is: disclose all options, explain costs and benefits, and avoid steering to harmful products.

116. Which of the following is a MANDATORY disclosure that an MLO must make to a borrower?

✓ **A) The MLO's annual origination volume**

The SAFE Act mandates disclosure of the MLO's NMLS unique identifier on all loan applications and solicitations. This is a mandatory, non-negotiable disclosure requirement. The borrower uses the unique identifier to verify the MLO's licensing status and history on NMLS Consumer Access. Commission rates are disclosed through Reg Z/TRID; the lender's cost of funds is proprietary.

117. What triggers the 180-day waiting period before an MLO can retake the NMLS exam?

✓ **D) Passing the exam and then failing a renewal**

NMLS exam retake rules: fail 1st time = wait 30 days; fail 2nd time = wait 30 days; fail 3rd (and subsequent) times = wait 180 days. The 180-day mandatory waiting period kicks in after the THIRD failure. This gives candidates time for substantive remedial study after three failed attempts.

118. Under the SAFE Act, which of the following is a disqualifying factor for MLO licensing that may be PERMANENT?

✓ **B) A DUI conviction 3 years ago**

The SAFE Act provides for permanent disqualification for felony convictions involving an act of fraud, dishonesty, breach of trust, or money laundering. This disqualification has no time limit — even convictions from decades ago can permanently bar someone from MLO licensing if they involve dishonesty. Other felonies within 7 years are also disqualifying but not necessarily permanent.

119. Which organization maintains the NMLS and provides licensing services for most states?

✓ **C) The CFPB**

The NMLS (Nationwide Multistate Licensing System) is operated by the Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR). The CFPB oversees the regulatory framework but does not operate the NMLS. States individually decide to use NMLS for licensing. The system processes applications, renewals, and CE completions for licensed MLOs.

120. An MLO who moves from a bank (registered) to a non-bank mortgage company (licensed) must:

✓ **A) Simply transfer their registration to the new employer**

Transitioning from registered (bank) to licensed (non-bank) status requires full licensing compliance: the 20-hour pre-licensing course (if not previously completed), passing the NMLS National Test, state license application, FBI background check, credit report review, and any state-specific requirements (additional education, state exams). The bank registration does NOT transfer to a non-bank license — these are entirely different regulatory tracks.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.